

Household Demand Pressure and Equity Mispricing

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Abstract

Household demand shocks generate valuation distortions when the institutional investors absorbing them are insufficiently elastic. I develop a measure of household demand pressure, defined as household latent demand scaled by institutional absorption capacity, and show that it explains both contemporaneous price impacts and long-horizon return reversals. Stocks experiencing greater household demand pressure earn significantly lower subsequent returns for up to five years, with the strongest effects occurring when institutional absorption capacity is limited. Decomposing pressure reveals two distinct channels: innovation pressure drives immediate price increases, whereas persistent pressure accounts for most of the subsequent reversal. The relation survives controls for size, idiosyncratic volatility, analyst coverage, and institutional ownership, indicating that demand-induced mispricing depends critically on the availability of elastic institutional capital.

1 Introduction

Households routinely direct large amounts of capital toward individual stocks, yet otherwise similar household demand shocks often have dramatically different effects on prices and future returns. Some episodes generate little apparent price distortion, while others are followed by large price increases and years of predictable return reversals. Why do comparable household demand shocks produce such different outcomes?

A natural explanation is that the effect of demand depends not only on the size of the shock but also on the amount of capital willing to absorb it. When households increase demand for a stock, other investors must supply the offsetting shares. If these counterparties respond elastically to prices, market clearing requires only modest price adjustment. If they are relatively insensitive to price, much larger valuation changes are needed to induce them to trade. Consequently, identical household demand shocks can generate very different pricing outcomes depending on the amount of elastic capital available to absorb them.

Institutional investors are the economically relevant absorbers of household trading. Institutions collectively hold a large fraction of the equity market and frequently take the opposite side of household trades. At the same time, institutional investors differ substantially in their willingness to adjust positions when prices change. Some investors provide considerable market depth, while others behave relatively inelastically. As a result, the pricing consequences of household demand depend not only on household behavior itself but also on the amount of institutionally supplied absorption capacity available in a given stock.

This paper argues that the return consequences of household trading are governed by household demand pressure, defined as household latent demand scaled by institutional absorption capacity. Institutional absorption capacity measures the amount of price-sensitive institutional capital available to accommodate household demand. The central idea is straightforward. Household demand creates mispricing when it encounters insufficient elastic institutional capital. A demand shock that is easily absorbed should have little effect on valuations, whereas an otherwise identical shock can create substantial price distortions

when institutional absorption capacity is limited.

To implement this idea, I estimate investor-specific demand elasticities and construct stock-level measures of institutional absorption capacity based on both institutional ownership and the elasticity of the institutions holding the stock. I then combine this measure with household latent demand to create a new demand-pressure measure that captures household demand relative to the supply of institutional capital available to absorb it.

Using U.S. equity holdings data from 1980 through 2024, I find strong support for the absorption-capacity framework. Household demand pressure predicts both contemporaneous price adjustment and long-horizon expected returns. Stocks experiencing greater household demand pressure exhibit substantially larger contemporaneous price increases and subsequently earn significantly lower returns for up to five years. A one-standard-deviation increase in household demand pressure predicts 3.10 percentage points lower cumulative returns over the subsequent year, 8.39 percentage points lower cumulative returns over the subsequent three years, and 13.81 percentage points lower cumulative returns over the subsequent five years. In horse-race specifications, demand pressure subsumes most of the predictive content of household demand, while household demand contributes little incremental explanatory power once institutional absorption capacity is taken into account.

The evidence also points to a clear mechanism. I decompose household demand pressure into innovation pressure and persistent pressure. Innovation pressure explains contemporaneous price adjustment: stocks experiencing unexpectedly strong household demand rise sharply when institutional absorption capacity is limited. Persistent pressure explains most of the subsequent return reversal. While innovation pressure creates valuation distortions, persistent pressure keeps those distortions embedded in prices and accounts for the majority of long-horizon return predictability.

Ownership dynamics provide additional evidence consistent with this mechanism. High-pressure episodes are initially associated with increases in household ownership and reductions in institutional ownership. Over subsequent years, however, households gradually re-

duce their positions while institutions absorb the resulting supply. The absorption process is concentrated initially among relatively active institutional investors, particularly mutual funds, investment advisors, and banks. At longer horizons, ownership continues to shift toward more patient investors, including pension funds and insurance companies. These patterns suggest that institutional absorption is not an instantaneous event but a gradual process through which demand-induced valuation distortions are slowly worked out of prices.

The paper further shows that household demand pressure is strongest precisely where arbitrage capital is expected to be most limited. Return reversals are larger among firms with low institutional absorption capacity, high idiosyncratic volatility, low analyst coverage, small market capitalization, and low institutional ownership. However, institutional absorption capacity retains explanatory power after these conventional limits-to-arbitrage characteristics are considered jointly. In horse-race regressions, institutional absorption capacity remains a significant predictor of future return reversals, suggesting that it captures a distinct dimension of the price-formation process rather than merely proxying for existing limits-to-arbitrage measures.

Taken together, the evidence suggests that understanding investor demand requires understanding who absorbs it. Demand alone is insufficient to explain the pricing consequences of trading. Instead, the crucial determinant is the interaction between demand and the supply of elastic capital available to accommodate it. Institutional absorption capacity therefore provides a new perspective on how investor demand is transmitted into prices, why valuation distortions can persist, and how temporary demand imbalances generate long-horizon expected-return predictability.

This paper contributes to the demand-based asset-pricing literature pioneered by Kojien and Yogo (2019) and extended by a rapidly growing body of work studying how investor demand affects asset prices, market clearing, and expected returns (Benetton & Compiani, 2020; Bretscher et al., 2024; Coqueret et al., 2022; Darmouni & Siani, 2022; Escobar et al., 2026; Fang et al., 2022; Haddad et al., 2021; Han et al., 2021; Huebner, 2023; Jansen, 2024;

Jansen et al., 2024; Jiang et al., 2022, 2024; Koijen & Yogo, 2020, 2024; Koijen et al., 2021; Van der Beck, 2026; Zhang et al., 2024). While this literature has primarily focused on identifying demand shocks and measuring their effects on prices, I shift attention to the capacity of financial markets to absorb those shocks. I introduce institutional absorption capacity as a stock-level measure of the quantity of elastic institutional capital available to accommodate household demand and show that the pricing consequences of demand depend critically on this capacity. In doing so, the paper complements recent work emphasizing the importance of institutional demand elasticities and intermediary balance-sheet constraints by showing that identical household demand shocks can generate dramatically different pricing outcomes depending on the elasticity of the institutions that absorb them. The results suggest that the economically relevant object is not demand alone, but demand relative to absorption capacity, which I refer to as household demand pressure.

The paper also contributes to the literature on intermediary asset pricing, mispricing, and limits to arbitrage. A central implication of intermediary-based models is that demand shocks can have persistent valuation effects because households do not reallocate capital sufficiently to neutralize intermediary-level frictions (Azar & Davis, 2024; Haddad et al., 2021; He & Krishnamurthy, 2013; Koijen & Yogo, 2019). Existing limits-to-arbitrage theories have largely emphasized the difficulty of correcting mispricing once it arises. By contrast, I highlight a complementary mechanism operating at the creation stage of mispricing. The evidence shows that household demand produces the largest valuation distortions when institutional absorption capacity is scarce, that innovation pressure drives the initial price response, and that persistent pressure generates most of the subsequent return reversal. Ownership dynamics further reveal that households initiate high-pressure episodes, relatively active intermediaries such as mutual funds and investment advisors absorb them first, and longer-horizon investors such as pension funds and insurance companies continue the absorption process over time. Taken together, these results suggest that the prevalence and persistence of mispricing depend fundamentally on the availability of elastic institutional

capital available to absorb household demand.

The remainder of the paper proceeds as follows. Section 2 develops the conceptual framework and introduces institutional absorption capacity, household demand pressure, and the paper’s testable predictions. Section 3 describes the data and variable construction, including the estimation of household demand, investor elasticities, absorption capacity, and demand-pressure measures. Section 4 examines the relation between demand pressure and contemporaneous price adjustment. Section 5 studies the long-horizon return predictability associated with household demand pressure. Section 6 investigates the mechanism through which demand pressure affects prices by examining innovation and persistent pressure as well as ownership dynamics. Section 7 compares institutional absorption capacity with conventional limits-to-arbitrage proxies. Section 8 concludes.

2 Conceptual Framework

This paper builds on the demand-system approach to asset pricing developed by Kojien and Yogo (2019). In demand-system models, asset prices are determined through market clearing between heterogeneous investors whose portfolio demands depend on prices, wealth, and firm characteristics. A central insight of this literature is that investor demand affects equilibrium prices. The empirical literature has therefore devoted substantial attention to measuring investor demand and estimating its impact on asset prices.

This paper focuses on a different question. Existing demand-system models imply that investor demand matters, but they do not explain why otherwise similar demand realizations can generate dramatically different pricing outcomes across stocks. Some demand episodes are followed by little apparent mispricing, while others are associated with large price movements and years of predictable return reversals. I argue that the missing state variable is absorption capacity: the amount of elastic capital available to absorb investor demand.

The central idea is straightforward. Demand alone does not determine the magnitude of

price distortions. The same quantity of demand can produce very different price responses depending on the elasticity of the investors holding the stock. Demand shocks generate the largest valuation distortions when they encounter limited elastic capital and considerably smaller distortions when absorption capacity is abundant.

2.1 Investor Demand Systems and Latent Demand

Following the demand-system framework, investor portfolio demand can be decomposed into a component explained by observable characteristics and a residual component reflecting investor-specific demand that is not captured by those characteristics.

For investor i , stock j , and quarter t , let

$$D_{i,j,t} \tag{1}$$

denote latent demand.

Latent demand should not be interpreted as a primitive preference shock. Instead, it summarizes all determinants of portfolio demand that remain after conditioning on observable characteristics.

These determinants may arise from private information, heterogeneous beliefs, portfolio mandates, benchmark-tracking behavior, liquidity needs, behavioral trading, sentiment, or any other force affecting portfolio allocations that is not captured by the characteristics entering the demand system.

Thus, latent demand measures the extent to which investors hold a stock more or less aggressively than predicted by observable firm characteristics alone.

To study heterogeneous investors, I aggregate latent demand separately across households and institutions.

Let

$$D_{j,t}^H \tag{2}$$

denote household latent demand and

$$D_{j,t}^I \tag{3}$$

denote institutional latent demand.

Positive values indicate stronger-than-predicted demand, while negative values indicate weaker-than-predicted demand.

2.2 Market Clearing and Demand Transmission

Both households and institutions may generate latent demand.

A positive realization of household latent demand implies that households wish to hold a stock more aggressively than predicted by fundamentals and risk characteristics.

Similarly, a positive realization of institutional latent demand implies that institutions wish to hold a stock more aggressively than predicted by those same characteristics.

Because the short-run supply of shares is fixed, these demand imbalances must be accommodated by other investors through price adjustment.

The key observation is that latent demand alone is insufficient to determine the resulting price movement.

Two stocks may experience identical household demand realizations yet exhibit very different price responses. The stock held by more elastic institutions requires only a small price adjustment to induce selling, whereas the stock held by relatively inelastic institutions requires a much larger movement for market clearing.

This observation motivates the concept of absorption capacity.

2.3 Absorption Capacity

Let

$$K_{j,t}^I \tag{4}$$

denote institutional absorption capacity.

Institutional absorption capacity measures the amount of institutional capital willing to adjust positions in response to price changes.

I define institutional absorption capacity as

$$K_{j,t}^I = \sum_{i \in I} s_{i,j,t} \eta_i, \tag{5}$$

where $s_{i,j,t}$ is investor i 's ownership share of stock j , and η_i is the elasticity of investor i 's demand.

Institutional absorption capacity is therefore large when a stock is held by institutions that both own a substantial fraction of the stock and respond strongly to price changes.

Because absorption capacity is estimated rather than directly observed, a small number of firm-quarter observations may exhibit extremely low estimated capacity. In such cases, the implied price response from a simple demand-to-capacity ratio can become unrealistically large. The empirical implementation therefore regularizes the capacity measure by imposing a quarter-specific lower bound. This adjustment preserves the economic interpretation of demand pressure while preventing mechanically extreme values generated by near-zero estimated capacity.

Analogously, define household absorption capacity as

$$K_{j,t}^H = s_{j,t}^H \eta_H. \tag{6}$$

Absorption capacity is conceptually distinct from ownership.

Two stocks can exhibit identical institutional ownership while possessing very different absorption capacities if the institutions holding those stocks differ in elasticity.

The contribution of this paper is to show that absorption capacity governs the transmission of latent demand into prices.

Demand-system models establish that investor demand affects equilibrium prices. This paper argues that the magnitude of that effect depends on the elasticity of the investors absorbing the demand imbalance.

2.4 Demand Pressure

The economically relevant quantity is therefore not latent demand alone but latent demand relative to absorption capacity.

When households generate latent demand, institutions absorb that pressure.

I therefore define household demand pressure as

$$DP_{j,t}^H = \frac{D_{j,t}^H}{\max \{K_{j,t-1}^I, Q_{0.05,t}(K^I)\}}. \quad (7)$$

This regularization reflects the fact that the demand-system approximation is local and should not be extrapolated to situations with nearly zero measured absorption capacity.

Similarly, institutional latent demand creates pressure that must be absorbed by households.

Institutional demand pressure is therefore

$$P_{j,t}^I = \frac{D_{j,t}^I}{K_{j,t}^H}. \quad (8)$$

These measures characterize latent demand relative to the supply of elastic capital available to accommodate it.

Demand pressure therefore captures the transmission mechanism linking demand to prices.

The same quantity of demand creates greater pressure when absorption capacity is limited and less pressure when absorption capacity is abundant.

2.5 Valuation Distortions and Expected Returns

Demand pressure creates valuation distortions because price adjustment is required for market clearing.

Let

$$M_{j,t} \tag{9}$$

denote the valuation distortion of stock j .

Assume

$$M_{j,t} = \gamma_H P_{j,t}^H + \gamma_I P_{j,t}^I, \tag{10}$$

where

$$\gamma_H > 0, \quad \gamma_I > 0.$$

This expression should not be interpreted as a structural causal equation. Instead, it summarizes the equilibrium implication that larger demand pressure requires larger price adjustments and therefore generates larger deviations between market prices and fundamental values.

The market price can therefore be written as

$$Price_{j,t} = Fundamental_{j,t} + M_{j,t}. \tag{11}$$

Demand pressure influences expected returns because valuation distortions are not permanent. As demand pressure dissipates, prices gradually move back toward fundamental

value.

Stocks experiencing unusually high demand pressure therefore become relatively over-valued and subsequently earn lower returns. Conversely, stocks experiencing unusually low demand pressure become relatively undervalued and subsequently earn higher returns.

2.6 Persistence of Latent Demand

Empirically, latent demand behaves more like a persistent state variable than a one-period shock.

Assume household latent demand follows

$$D_{j,t}^H = \rho_H D_{j,t-1}^H + u_{j,t}^H, \quad (12)$$

where

$$0 < \rho_H < 1.$$

Similarly, institutional latent demand follows

$$D_{j,t}^I = \rho_I D_{j,t-1}^I + u_{j,t}^I, \quad (13)$$

where

$$0 < \rho_I < 1.$$

The innovation terms

$$u_{j,t}^H \quad \text{and} \quad u_{j,t}^I$$

capture newly arriving latent demand.

The predictable components

$$\rho_H D_{j,t-1}^H \quad \text{and} \quad \rho_I D_{j,t-1}^I$$

capture demand that remains embedded in investor portfolios.

Persistence is important because it determines how long valuation distortions remain in prices.

Temporary demand pressure produces short-lived distortions.

Persistent demand pressure generates prolonged deviations between prices and fundamental values and therefore longer-horizon return predictability.

2.7 Innovation Pressure and Persistent Pressure

The persistence representation implies a decomposition of household demand pressure into innovation pressure and persistent pressure.

Define household innovation pressure as

$$P_{j,t}^{H,N} = \frac{u_{j,t}^H}{K_{j,t}^I}, \quad (14)$$

and household persistent pressure as

$$P_{j,t}^{H,P} = \frac{\rho_H D_{j,t-1}^H}{K_{j,t}^I}. \quad (15)$$

These measures capture distinct economic mechanisms.

Innovation pressure represents newly arriving household demand and should be most closely associated with contemporaneous price movements.

Persistent pressure represents demand that remains embedded in investors' portfolios and should therefore explain the persistence and timing of subsequent return reversals.

2.8 Testable Predictions

The framework generates five predictions.

Proposition 1. Conditional on a given level of latent demand, stocks with lower absorption capacity exhibit larger contemporaneous price responses.

Proposition 2. Expected return reversals increase with demand pressure.

Proposition 3. Demand pressure explains future returns more effectively than latent demand alone.

Proposition 4. Innovation pressure explains contemporaneous price movements, whereas persistent pressure explains long-horizon return reversals.

Proposition 5. The investor sector whose demand encounters the least elastic counterparties generates the strongest return predictability.

The empirical analysis evaluates these predictions by measuring household and institutional latent demand, constructing investor-specific absorption-capacity measures, and studying the relation between demand pressure, contemporaneous price movements, and long-horizon expected returns.

3 Data and Variable Construction

This section describes the construction of the paper’s key variables. Following the demand-system approach, I first estimate investor-level latent demand and aggregate it separately across households and institutions. I then estimate investor-specific demand elasticities and combine these elasticities with ownership information to construct measures of absorption capacity. Finally, I define household and institutional demand-pressure measures by scaling latent demand by the absorption capacity of the investors absorbing that demand. The resulting variables allow the empirical analysis to examine whether demand pressure, rather than latent demand alone, governs contemporaneous price adjustment and long-horizon expected returns.

3.1 Data Sources

This paper combines data on stock returns, firm fundamentals, and investor holdings. Stock returns, prices, shares outstanding, and market capitalization are obtained from the Center for Research in Security Prices (CRSP). Accounting information is obtained from the Compustat North America Fundamentals Annual and Quarterly databases. Following the standard empirical asset-pricing literature, accounting variables are matched to returns using the most recently available public information in order to avoid look-ahead bias.

The sample is restricted to ordinary common shares listed on the NYSE, AMEX, and Nasdaq exchanges. Firms with missing return, price, or accounting information are excluded from the analysis. The resulting sample spans the period from 1980Q1 through 2024Q3.

Firm characteristics are selected to match the demand-system specification used to estimate latent demand. The baseline characteristic set includes profitability, investment, dividends relative to book equity, and firm size. These variables capture dimensions of firm fundamentals and risk that are known to influence portfolio demand.

The empirical analysis focuses on both contemporaneous price adjustment and future

stock returns. For horizon h , cumulative future returns are measured as

$$R_{j,t \rightarrow t+h} = \prod_{k=1}^h (1 + r_{j,t+k}) - 1, \quad (16)$$

where $r_{j,t+k}$ is the realized stock return of firm j in quarter $t+k$. Thus, a one-quarter horizon uses only the next-quarter return, while a twenty-quarter horizon corresponds to a five-year buy-and-hold return.

In addition to cumulative-return specifications, I also examine quarter-by-quarter return responses. In these specifications, the dependent variable is the return realized exactly h quarters after portfolio formation, $r_{j,t+h}$, which isolates the timing of return predictability at different horizons.

Table ?? summarizes the stock-level sample. The final dataset contains 714,468 firm-quarter observations representing 19,161 unique firms. The average quarter contains approximately 3,991 firms, with a median of 3,938 firms.

The sample exhibits substantial heterogeneity in firm size. Average market equity equals 3,350, while median market equity is 174. The 10th percentile firm has market equity of roughly 10, whereas the 90th percentile exceeds 4,235. This broad cross-sectional variation is important because both investor demand and absorption capacity vary systematically across firms and therefore provide the variation necessary to identify the mechanisms studied in the paper.

3.1.1 Institutional Holdings

Institutional holdings are obtained from Thomson Reuters 13F filings. Institutional investment managers with more than \$100 million in reportable securities are required to submit Form 13F filings to the Securities and Exchange Commission. These filings report long equity positions and provide broad coverage of institutional ownership in U.S. equity markets.

Institutional holdings are merged with the CRSP–Compustat universe using security

identifiers. For each institution and quarter, the market value of each position is calculated and aggregated to obtain total assets under management (AUM). Portfolio weights are then defined as the fraction of an institution’s portfolio invested in a given stock.

Institutional investors are classified into standard categories, including mutual funds, banks, insurance companies, pension funds, investment advisors, and other institutions. These classifications are later used to study heterogeneity in demand, elasticity, and absorption capacity across investor groups.

Table ?? summarizes the holdings sample. The data contain 13,417 unique institutions, 458,624 institution-quarter portfolios, and more than 93 million institution-stock-quarter observations. The average institution holds approximately 203 stocks per quarter, although the median institution holds only 75 stocks, indicating substantial variation in portfolio concentration.

Institutional size is similarly dispersed. Average assets under management equal 4,076, while median assets under management equal 258. The sample therefore contains a relatively small number of extremely large institutions alongside a much larger population of smaller investors.

This heterogeneity is central to the paper. Differences in portfolio holdings generate variation in latent demand, while differences in investor elasticities generate variation in absorption capacity. Together, these features allow the construction of stock-level measures of institutional absorption capacity and demand pressure.

3.1.2 Analyst Coverage

Analyst-forecast data are obtained from the LSEG I/B/E/S Academic Detail History database through WRDS. For each firm-quarter, analyst coverage is measured as the number of distinct analysts issuing one-year-ahead earnings forecasts during the calendar quarter. I/B/E/S forecasts are linked to the CRSP–Compustat universe using the eight-character CUSIP. Firm-quarters with no matching forecast are assigned zero analyst coverage.

Analyst coverage serves as a widely used proxy for a firm's information environment and the degree of professional monitoring by informed market participants. Firms followed by many analysts typically receive greater information production and scrutiny, whereas firms with little or no analyst coverage tend to operate in weaker informational environments.

In the empirical analysis, analyst coverage is primarily used as a proxy for limits to arbitrage. Lower analyst coverage may be associated with greater uncertainty about firm value and fewer sophisticated investors capable of identifying and correcting valuation distortions. To study this mechanism, I classify firms as low coverage when their analyst coverage is less than or equal to the within-quarter median among firms with positive coverage. This definition intentionally retains zero-coverage firms in the low-coverage group. Subsequent analyses examine whether demand pressure and its associated return reversals are stronger among these firms.

3.2 Estimating Investor-Level Latent Demand

This paper follows the demand-system approach of Koiijen and Yogo (2019) to measure latent demand. The central idea is to decompose investor demand into a component explained by observable firm characteristics and a residual component capturing investor-specific demand that is not explained by those characteristics.

For each investor and quarter, portfolio weights are modeled as

$$\log \left(\frac{w_{i,j,t}}{w_{i,0,t}} \right) = \eta_i ME_{j,t} + b'_{i,t} X_{j,t} + \epsilon_{i,j,t}^d \quad (17)$$

where $w_{i,j,t}$ denotes investor i 's portfolio weight in stock j , $w_{i,0,t}$ denotes the portfolio weight allocated to the outside asset, $ME_{j,t}$ is market equity of firms and $X_{j,t}$ contains observable firm characteristics. The characteristic vector includes market equity, beta, profitability, investment, and dividends relative to book equity.¹

The residual component, $\epsilon_{i,j,t}^d$, captures the portion of investor demand that is not explained by observable characteristics. Throughout the paper, this residual is referred to as investor-level latent demand.

Latent demand should not be interpreted as a single economic force. Rather, it summarizes all determinants of portfolio demand that are not captured by the observable characteristics included in the demand system. These determinants may reflect private information, heterogeneous beliefs, benchmark-tracking behavior, institutional mandates, sentiment, behavioral biases, liquidity needs, or other investor-specific motives for holding a stock more or less aggressively than predicted by fundamentals and risk characteristics alone.

The demand-system estimation produces a stock-specific latent-demand measure for every investor in every quarter. Positive realizations indicate that an investor holds a stock more aggressively than predicted by observable characteristics, while negative realizations indicate weaker-than-predicted demand.

¹A complete description of variable construction is provided in the Internet Appendix.

Because the theoretical framework focuses on the aggregate demand generated by different investor sectors, investor-level latent demand must be aggregated across investors. For a given group of investors, stock-level latent demand is constructed as the AUM-weighted average of investor-level latent demand,

$$D_{j,t} = \frac{\sum_{i \in \mathcal{I}_{j,t}} AUM_{i,t} \epsilon_{i,j,t}^d}{\sum_{i \in \mathcal{I}_{j,t}} AUM_{i,t}}. \quad (18)$$

This aggregation assigns greater weight to demand originating from larger investors and produces a stock-level measure of latent demand for each quarter.

Importantly, stock-level latent demand need not equal zero. Market clearing applies to actual holdings rather than to the residual component recovered from the demand system. Consequently, positive and negative residual demands do not mechanically offset one another in the aggregation. A stock can therefore experience positive or negative aggregate latent demand even though aggregate shareholdings satisfy market-clearing conditions.

In the next subsection, I separately aggregate latent demand across households and institutions in order to construct the sector-level demand measures used throughout the paper.

3.3 Household and Institutional Latent Demand

The previous subsection produces investor-level latent-demand estimates for every investor-stock-quarter observation. The theoretical framework developed in Section 2 distinguishes between household and institutional demand. Accordingly, the next step is to aggregate investor-level latent demand separately for these two sectors.

Institutional latent demand is defined as the AUM-weighted average of institutional investor latent demand,

$$D_{j,t}^I = \frac{\sum_{i \in \mathcal{I}_{j,t}} AUM_{i,t} \epsilon_{i,j,t}^d}{\sum_{i \in \mathcal{I}_{j,t}} AUM_{i,t}}, \quad (19)$$

where $\mathcal{I}_{j,t}$ denotes the set of institutional investors holding stock j in quarter t .

Positive values of $D_{j,t}^I$ indicate that institutions collectively hold a stock more aggressively

than predicted by observable firm characteristics, while negative values indicate weaker-than-predicted institutional demand.

Household latent demand is constructed analogously. Following the holdings decomposition, households are represented by the residual ownership sector, defined as the portion of shares not held by reporting institutions. Let $\epsilon_{H,j,t}^d$ denote the latent-demand estimate associated with this residual household sector. Household latent demand is then

$$D_{j,t}^H = \epsilon_{H,j,t}^d. \quad (20)$$

This construction is consistent with the demand-system framework, in which the household sector is treated as an additional investor and absorbs the residual share of market ownership not attributed to reporting institutional investors.

The distinction between household and institutional latent demand is important for two reasons. First, the two sectors may possess different information sets, objectives, and trading motives. Consequently, household and institutional latent demand need not contain the same economic information.

Second, the pricing consequences of demand depend on the identity of the investors absorbing it. Institutional demand must ultimately be accommodated by households, while household demand must be accommodated by institutions. The relevant demand pressure therefore depends not only on the level of latent demand but also on the absorption capacity of the investors on the opposite side of the market.

The empirical analysis studies both household and institutional latent demand. However, the central hypothesis of the paper is that household latent demand generates its largest pricing effects when institutional absorption capacity is limited. The next subsection therefore develops measures of investor-specific elasticity and absorption capacity.

3.4 Estimating Investor Elasticities

Latent demand alone is insufficient to characterize the pricing consequences of investor demand. The theoretical framework developed in Section 2 implies that the effect of a given demand realization depends on the elasticity of the investors absorbing it. Measuring investor-specific elasticities is therefore necessary for constructing stock-level absorption-capacity measures.

Following the demand-system framework, investor demand depends on both firm characteristics and prices. Investor elasticity measures the extent to which an investor adjusts portfolio demand in response to changes in valuation. More elastic investors are willing to alter their holdings substantially when prices move, whereas less elastic investors require larger price changes before adjusting positions.

For each investor, I estimate a demand elasticity parameter, denoted η_i , using the investor-level demand-system estimates. Conceptually, η_i measures the sensitivity of investor i 's portfolio demand to a change in stock valuation and is estimated directly from demand system elaborated on Equation 17.

The estimation exploits cross-sectional and time-series variation in investor portfolio allocations, prices, and firm characteristics. Because investors differ substantially in investment objectives, constraints, information sets, and portfolio-management practices, estimated elasticities vary considerably across investors.

This heterogeneity is economically important. Two stocks can experience identical latent-demand realizations yet exhibit very different pricing responses if they are held by investors with different elasticities. A stock held primarily by highly elastic investors can absorb demand imbalances with relatively small price adjustments, whereas a stock held by relatively inelastic investors requires larger valuation changes before market clearing is restored.

Across 10,206 usable investor-quarter elasticity estimates from 1980 through 2024, the elasticity measure, $\eta \equiv 1 - b^{ME}$, exhibits substantial cross-sectional heterogeneity. The mean elasticity equals 0.18, with a standard deviation of 0.27, a minimum of 0.01, a median of 0.02,

and a maximum of 2.66. The low median reflects the fact that many institutional estimates are concentrated at the estimation boundary and therefore provides a potentially misleading summary of economically relevant variation. To characterize the elasticity of capital actually participating in market clearing, I compute AUM-weighted sector-level elasticities within each quarter and then average them over time.

Aggregate institutions exhibit an average elasticity of 0.09, with a time-series standard deviation of 0.05, a minimum of 0.01, a median of 0.08, and a maximum of 0.23. The household residual sector exhibits an average elasticity of 0.58, with a time-series standard deviation of 0.40, a minimum of 0.24, a median of 0.38, and a maximum of 2.23. Thus, households are approximately seven times more price elastic than the aggregate institutional sector. Economically, a 1% increase in valuation is associated with an estimated 0.58% reduction in household demand but only a 0.09% reduction in institutional demand. This difference implies that institutions are substantially less responsive to prices and therefore provide relatively limited absorption capacity when faced with household demand shocks.

This finding should not be interpreted as implying that households are more sophisticated traders than institutions. Rather, the residual household sector behaves as a broad outside investor whose aggregate holdings adjust more strongly to valuation changes than those of many institutional investors subject to benchmarking, portfolio mandates, regulatory constraints, or other frictions that reduce the responsiveness of demand to prices. These elasticity differences motivate the paper’s focus on absorption capacity as a determinant of how investor demand is transmitted into prices.

The elasticity estimates are treated as investor characteristics and are used throughout the remainder of the paper to construct measures of absorption capacity. These measures combine information about both ownership and elasticity, allowing the empirical analysis to distinguish between the amount of capital holding a stock and the amount of capital willing to respond to price changes.

Because elasticity estimates are potentially noisy at the individual-investor level, the

analysis focuses on their contribution to aggregate stock-level absorption capacity rather than on the behavior of any single investor. The next subsection combines the estimated elasticities with ownership information to construct measures of institutional and household absorption capacity.

3.5 Institutional and Household Absorption Capacity

The central contribution of the paper is the introduction of absorption capacity as a determinant of the pricing consequences of investor demand.

Theoretical demand-system models imply that prices respond to investor demand. However, identical demand realizations need not generate identical price movements across stocks. The magnitude of the required price adjustment depends on the quantity of capital willing to absorb the resulting demand imbalance.

I define absorption capacity as the amount of ownership held by investors who are willing to adjust their positions when prices change. Consequently, absorption capacity depends jointly on ownership and demand elasticity. A stock held primarily by highly elastic investors possesses greater absorption capacity than an otherwise identical stock held by relatively inelastic investors.

Institutional absorption capacity for stock j in quarter t is defined as

$$K_{j,t}^I = \sum_{i \in \mathcal{I}} s_{i,j,t} \eta_i, \quad (21)$$

where $s_{i,j,t}$ denotes investor i 's ownership share of stock j and η_i denotes the estimated elasticity of investor i .

Institutional absorption capacity is therefore large when a stock is held by institutions with both substantial ownership stakes and highly elastic demand. Conversely, institutional absorption capacity is low when institutional ownership is concentrated among investors whose portfolio demand responds only weakly to price changes.

Analogously, household absorption capacity is defined as

$$K_{j,t}^H = s_{j,t}^H \eta_H, \quad (22)$$

where $s_{j,t}^H$ denotes household ownership and η_H denotes the estimated elasticity of household demand.

Several features distinguish absorption capacity from more conventional ownership measures.

First, absorption capacity is not equivalent to institutional ownership. Two stocks may have identical institutional ownership yet exhibit very different levels of absorption capacity if the institutions holding those stocks differ in elasticity.

Second, absorption capacity is not equivalent to the number of institutional investors. A stock held by many institutions may nonetheless possess low capacity if those institutions are relatively unwilling to trade in response to price changes.

Third, absorption capacity differs conceptually from traditional limits-to-arbitrage proxies such as firm size, idiosyncratic volatility, analyst coverage, or ownership concentration. These variables capture the difficulty of correcting mispricing after it emerges. Absorption capacity instead measures the amount of elastic capital available to accommodate investor demand before large valuation distortions are created.

To mitigate concerns that contemporaneous trading mechanically influences the capacity measure, all ownership inputs used in the construction of absorption capacity are measured at the end of quarter $t - 1$. Consequently, the capacity measure reflects the stock's pre-existing ownership structure before the demand realization observed in quarter t .

Table ?? reports summary statistics for the absorption-capacity measures. The cross-sectional distribution reveals substantial variation in both institutional and household absorption capacity. This heterogeneity is the key source of variation used throughout the paper to study how the pricing consequences of latent demand depend on the availability of

elastic capital.

The next subsection combines sector-level latent demand with the absorption-capacity measures developed here to construct demand-pressure variables.

3.6 Demand Pressure Measures

The theoretical framework implies that the pricing consequences of latent demand depend on the amount of elastic capital available to absorb it. Demand alone is therefore insufficient to characterize the valuation effects of investor trading. The economically relevant object is demand relative to absorption capacity.

When households increase demand for a stock, institutions must provide the offsetting supply. Consequently, the valuation impact of household demand depends on institutional absorption capacity. I therefore define household demand pressure as

$$DP_{j,t}^H = \frac{D_{j,t}^H}{K_{j,t-1}^I}, \quad (23)$$

where $D_{j,t}^H$ denotes household latent demand and $K_{j,t-1}^I$ denotes lagged institutional absorption capacity.

Similarly, institutional demand must ultimately be absorbed by households. Institutional demand pressure is therefore defined as

$$DP_{j,t}^I = \frac{D_{j,t}^I}{K_{j,t-1}^H}, \quad (24)$$

where $D_{j,t}^I$ denotes institutional latent demand and $K_{j,t-1}^H$ denotes lagged household absorption capacity.

These measures capture latent demand relative to the amount of elastic capital available on the opposite side of the market. For a fixed demand realization, pressure is larger when absorption capacity is limited and smaller when absorption capacity is abundant.

The use of lagged absorption capacity serves two purposes. First, it aligns the timing of

the pressure measure with the theoretical framework, in which absorption capacity is predetermined before the demand realization occurs. Second, it avoids mechanically incorporating contemporaneous ownership changes that may themselves result from the demand episode being studied.

Demand pressure may be interpreted as a measure of the difficulty with which a demand imbalance can be accommodated. Two stocks can experience identical latent-demand realizations yet exhibit very different pressure levels if they differ in the elasticity of their investor base. A stock held by highly elastic institutions can absorb household demand with relatively little valuation pressure, whereas a stock held by relatively inelastic institutions requires larger price adjustments for market clearing.

Throughout the paper, household demand pressure constitutes the primary object of interest. Although both household and institutional pressure measures are constructed and analyzed, the central hypothesis is that household demand creates the largest valuation distortions when institutional absorption capacity is limited. The empirical analysis therefore focuses primarily on the interaction between household latent demand and institutional absorption capacity.

Because extreme pressure values can arise when estimated absorption capacity is very small, all pressure measures are winsorized at the 1st and 99th percentiles. Unless otherwise noted, continuous pressure variables are subsequently standardized within quarter so that coefficient estimates can be interpreted as the effect of a one-standard-deviation increase in demand pressure.

3.7 Innovation and Persistent Demand Pressure

The theoretical framework distinguishes between newly arriving demand and demand that remains embedded in investors' portfolios. To separate these two channels, I decompose household latent demand into an innovation component and a persistent component.

For each quarter, household latent demand is modeled as

$$D_{j,t}^H = \alpha_t + \rho_t D_{j,t-1}^H + u_{j,t}^H, \quad (25)$$

where $u_{j,t}^H$ denotes the innovation in household latent demand and $\rho_t D_{j,t-1}^H$ represents the predictable component inherited from the previous quarter.

Equivalently, household latent demand can be written as

$$D_{j,t}^H = \hat{D}_{j,t}^{H,P} + u_{j,t}^H, \quad (26)$$

where $\hat{D}_{j,t}^{H,P} \equiv \alpha_t + \rho_t D_{j,t-1}^H$ denotes predicted, or persistent, household latent demand.

The innovation term captures unexpected changes in household demand. Positive innovations indicate that households hold a stock more aggressively than would be predicted based on their previous demand, while negative innovations indicate unexpected reductions in demand.

The predictable component captures the portion of household demand expected to persist. Because household latent demand is highly persistent, this component represents demand pressure that remains embedded in investor portfolios and may continue to influence prices over extended horizons.

Using this decomposition, innovation pressure is defined as

$$DP_{j,t}^{H,N} = \frac{u_{j,t}^H}{K_{j,t-1}^I}, \quad (27)$$

where $K_{j,t-1}^I$ denotes lagged institutional absorption capacity.

Similarly, persistent demand pressure is defined as

$$DP_{j,t}^{H,P} = \frac{\hat{D}_{j,t}^{H,P}}{K_{j,t-1}^I}. \quad (28)$$

The decomposition creates two conceptually distinct measures of demand pressure.

Innovation pressure captures newly arriving household demand relative to the quantity of elastic institutional capital available to absorb it. This measure is designed to capture the immediate pressure generated by unexpected changes in household demand.

Persistent pressure captures the component of household demand that remains embedded in investor portfolios relative to institutional absorption capacity. This measure reflects the continuation of demand pressure through time and is intended to capture the persistence of valuation distortions once they are created.

Both pressure measures are winsorized and standardized using the same procedures applied to the baseline demand-pressure variables. The empirical analysis subsequently examines the extent to which innovation pressure and persistent pressure contribute differently to contemporaneous price adjustment and long-horizon expected returns.

3.8 Summary Statistics

Table 1 reports summary statistics for the principal variables used throughout the paper. For each quarter, cross-sectional moments are first computed across firms and then averaged over time. This approach ensures that periods with unusually large numbers of listed firms do not receive disproportionate weight in the reported statistics.

Panel A reports the distributions of household and institutional latent demand. Both measures exhibit substantial cross-sectional variation, indicating that investors routinely hold some stocks more aggressively and others less aggressively than would be predicted by observable firm characteristics alone. This variation provides the foundation for the demand-based measures developed throughout the paper.

Panel B reports household and institutional absorption capacity. The distributions reveal considerable heterogeneity in the amount of elastic capital available across stocks. Because absorption capacity depends jointly on ownership and investor-specific demand elasticities, firms with similar ownership structures can nevertheless exhibit very different levels of market

depth. This cross-sectional variation is central to the paper’s identification strategy.

Panel C reports the demand-pressure measures obtained by scaling latent demand by the absorption capacity of the investors absorbing the demand imbalance. Household demand pressure is particularly dispersed, indicating that otherwise similar household-demand realizations can generate substantially different levels of market pressure depending on the elasticity of the institutional investor base. To avoid mechanically extreme values arising from near-zero estimated capacity, the pressure measures are constructed using a quarter-specific capacity floor and are subsequently winsorized within quarter. The table reports the inverse-hyperbolic-sine transformation of the resulting pressure measures, which preserves sign while reducing the influence of remaining extreme observations.

Panel D reports the control variables used throughout the analysis. The sample contains substantial variation in profitability, investment, firm size, momentum, analyst coverage, institutional ownership, and idiosyncratic volatility. Analyst coverage and idiosyncratic volatility are particularly important because they serve as complementary proxies for the informational environment and limits to arbitrage.

Finally, Panel E reports future stock returns measured over horizons ranging from one quarter to five years. As expected, both average returns and return dispersion increase with the investment horizon. Even at the longest horizon, the sample retains a broad cross-section of firms, providing substantial variation for examining the long-run consequences of demand pressure.

Overall, the summary statistics reveal substantial heterogeneity in latent demand, absorption capacity, and demand pressure across firms. This cross-sectional variation allows the paper to study whether identical demand realizations generate different pricing outcomes when they encounter different amounts of elastic institutional capital.

Table 1: Summary Statistics for Demand, Absorption Capacity, Demand Pressure, Controls, and Returns

Variable	N_q	Avg. N	Mean	Std. Dev.	Min	Median	Max
<i>Panel A: Latent Demand</i>							
Household latent demand (D^H)	152	3975	-0.00	0.85	-8.63	0.07	2.88
Institutional latent demand (D^I)	152	3975	0.87	1.14	-5.44	0.90	7.91
<i>Panel B: Absorption Capacity</i>							
Institutional absorption capacity (κ^I)	152	3969	0.04	0.03	0.00	0.03	0.25
Household absorption capacity (κ^H)	152	3969	0.31	0.17	0.00	0.30	0.58
<i>Panel C: Demand Pressure</i>							
asinh Household demand pressure	149	3836	0.57	3.83	-7.23	1.17	7.77
asinh Institutional demand pressure	151	3817	1.65	1.61	-2.31	2.00	4.47
asinh Household innovation pressure	149	3836	0.22	2.95	-6.66	0.48	6.69
asinh Household persistent pressure	149	3836	0.58	3.70	-7.00	1.11	7.64
<i>Panel D: Controls</i>							
Profitability	152	3975	0.11	0.37	-1.45	0.17	0.72
Asset growth	152	3975	0.09	0.24	-0.48	0.07	0.82
Dividend payout	152	3975	0.02	0.03	0.00	0.00	0.10
Log market equity	152	3975	5.22	2.04	-0.65	5.09	12.16
Momentum	152	3967	0.01	0.47	-3.15	0.05	2.29
Analyst coverage	152	3975	3.86	5.16	0.00	1.83	36.76
Institutional ownership	152	3969	0.39	0.27	0.00	0.38	1.29
Idiosyncratic volatility	152	3975	0.03	0.02	0.00	0.03	0.33
<i>Panel E: Future Returns</i>							
Next-quarter return	152	3892	0.04	0.27	-0.85	0.02	4.45
One-year cumulative return	152	3643	0.16	0.64	-0.95	0.08	11.85
Three-year cumulative return	152	3077	0.50	1.40	-0.99	0.26	29.72
Five-year cumulative return	152	2633	0.95	2.36	-1.00	0.50	52.74
<i>Panel F: Elasticity Distribution</i>							
Elasticity	10,206	-	0.18	0.27	0.01	0.02	2.66

This table reports time-series averages of quarterly cross-sectional moments. For each variable and each calendar quarter, I calculate the number of nonmissing firms, the cross-sectional mean, standard deviation, minimum, median, and maximum. N_q is the number of quarters with nonmissing observations, and Avg. N is the time-series mean of the quarterly cross-sectional number of firms. Thus, the reported minimum and maximum are averages of quarterly minima and maxima, rather than sample-wide extrema.

Household latent demand, D^H , and institutional latent demand, D^I , are the firm-quarter latent-demand measures constructed from household and aggregate institutional holdings, respectively. Institutional absorption capacity is $\kappa_{j,t}^I = \sum_{i \in \mathcal{I}} s_{i,j,t} |\eta_i|$, where $s_{i,j,t}$ is institutional ownership and η_i is the investor-specific estimated price elasticity. Household capacity is $\kappa_{j,t}^H = s_{j,t}^H |\eta_H|$.

Household pressure is $DP_{j,t}^H = D_{j,t}^H / \max\{\kappa_{j,t-1}^I, Q_{0.05,t}(\kappa^I)\}$. Institutional pressure is the symmetric ratio $DP_{j,t}^I = D_{j,t}^I / \max\{\kappa_{j,t-1}^H, Q_{0.05,t}(\kappa^H)\}$. Innovation and persistent household pressure replace $D_{j,t}^H$ with, respectively, the innovation and fitted AR(1) component from the quarter-specific projection $D_{j,t}^H = \hat{\phi}_t D_{j,t-1}^H + \nu_{j,t}^H$. Pressure measures use a quarter-specific 5th-percentile floor on absorption capacity to prevent mechanically extreme values arising from near-zero estimated capacity. The ratios are then winsorized at the 1st and 99th percentiles within quarter. The table reports the inverse-hyperbolic-sine transformation, $\text{asinh}(DP)$, which preserves sign and reduces the influence of extreme observations. Standardized within-quarter pressure measures are used in regressions; raw pressure ratios are reported in the robustness appendix.

Profitability is operating profit divided by book equity; asset growth is *gat*; dividend payout is dividends divided by book equity; momentum is *cret*; analyst coverage is the number of distinct I/B/E/S analysts issuing one-year-ahead EPS forecasts in the quarter; institutional ownership is the aggregate institutional ownership share; and idiosyncratic volatility is lagged 12-month FF5 residual volatility. Future returns are raw stock returns realized over the indicated horizon after portfolio formation

4 Demand Pressure and Contemporaneous Price

The conceptual framework implies that the pricing consequences of household demand depend not only on the magnitude of the demand realization but also on the amount of institutional absorption capacity available to accommodate it. When institutional capacity is limited, a given household-demand episode should require a larger price adjustment to induce institutions to absorb the resulting imbalance. As a result, otherwise similar demand realizations may generate very different contemporaneous price responses.

This section provides the first empirical evaluation of the framework. I study whether household demand pressure is associated with contemporaneous stock-price adjustment and whether this relation is stronger when institutional absorption capacity is limited. The objective is not to establish a causal effect of household trading on prices, since demand and returns may respond jointly to information arriving during the quarter. Rather, the analysis evaluates whether the cross-sectional relation between household demand and prices varies in the manner predicted by the absorption-capacity framework.

4.1 Motivation and Empirical Specification

The theoretical framework predicts that the contemporaneous pricing consequences of household demand depend on institutional absorption capacity. When institutional investors are willing to adjust positions aggressively, a given household-demand realization can be accommodated with relatively little price movement. In contrast, when institutional absorption capacity is limited, larger price adjustments are required to induce institutions to absorb the resulting imbalance.

A natural implication is that household demand should be associated with larger contemporaneous returns among firms with lower institutional absorption capacity. More generally, demand pressure should explain contemporaneous price adjustment more effectively than household demand alone because it combines information about both demand and the elas-

ticity of the investors absorbing that demand.

To evaluate these predictions, I estimate a series of quarterly cross-sectional regressions and report the time-series averages of the resulting coefficients using the Fama–MacBeth (1973) procedure.

The baseline specification relates contemporaneous returns to household latent demand,

$$R_{j,t} = \alpha_t + \beta_t D_{j,t}^H + \Gamma'_t X_{j,t-1} + u_{j,t}, \quad (29)$$

where $R_{j,t}$ is the raw stock return realized during quarter t , $D_{j,t}^H$ is household latent demand, and $X_{j,t-1}$ contains the standard control variables measured at the end of the previous quarter.

To evaluate the role of absorption capacity, I augment the specification with household demand pressure,

$$R_{j,t} = \alpha_t + \beta_t D_{j,t}^H + \delta_t DP_{j,t}^H + \Gamma'_t X_{j,t-1} + u_{j,t}. \quad (30)$$

If demand pressure captures the transmission of household demand into prices, the coefficient on $DP_{j,t}^H$ should be positive and should subsume a substantial portion of the explanatory power of raw household demand.

Finally, I directly test the absorption-capacity mechanism using an interaction specification,

$$R_{j,t} = \alpha_t + \beta_t D_{j,t}^H + \lambda_t LowCap_{j,t-1} + \theta_t (D_{j,t}^H \times LowCap_{j,t-1}) + \Gamma'_t X_{j,t-1} + u_{j,t}, \quad (31)$$

where $LowCap_{j,t-1}$ identifies firms with below-median institutional absorption capacity. The framework predicts $\theta_t > 0$: the same household-demand realization should generate a larger contemporaneous price response when institutional absorption capacity is limited.

These specifications should not be interpreted as establishing a causal effect of household trading on prices. Household demand and returns may respond simultaneously to

information arriving during the quarter. Rather, the objective is to examine whether the cross-sectional relation between household demand and contemporaneous returns varies in the manner predicted by the absorption-capacity framework. The next subsection begins by examining the relation between household latent demand and contemporaneous returns before introducing demand pressure and low-capacity amplification effects.

4.2 Household Demand and Contemporaneous Price Adjustment

Table 2 begins by examining whether household demand is associated with contemporaneous stock returns. Column (1) shows that a one-standard-deviation increase in household latent demand is associated with a 3.95 percentage-point increase in the stock’s contemporaneous return ($t = 16.97$). This result indicates that stocks experiencing unusually strong household demand tend to appreciate during the same quarter.

The relation is economically large and highly statistically significant. However, the result should not be interpreted causally because household demand and returns may respond simultaneously to information arriving during the quarter. Instead, the evidence establishes that household demand is strongly associated with contemporaneous price adjustment and motivates the analysis of whether this association depends on institutional absorption capacity.

4.3 Demand Pressure and Price Adjustment

The absorption-capacity framework predicts that the contemporaneous pricing effect of household demand depends on the amount of institutional capital available to absorb it. Consistent with this prediction, column (2) shows that a one-standard-deviation increase in household demand pressure is associated with a 3.67 percentage-point increase in contemporaneous returns ($t = 14.36$).

Column (3) includes both household latent demand and household demand pressure. The coefficient on demand pressure remains strongly positive at 2.71 percentage points ($t =$

11.48), while the coefficient on raw household demand falls to 2.82 percentage points ($t = 12.14$). The decline in the demand coefficient indicates that a substantial portion of the contemporaneous price adjustment associated with household demand is concentrated in episodes where institutional absorption capacity is limited.

These findings suggest that demand pressure contains information beyond the level of household demand itself. The pricing consequences of household demand depend not only on the magnitude of the demand realization but also on the elasticity of the institutions absorbing it.

4.4 Low-Capacity Amplification

The most direct test of the absorption-capacity mechanism is provided by the interaction specification in column (4). The coefficient on household latent demand is 2.79 percentage points ($t = 16.12$), while the interaction between household demand and low institutional capacity is an additional 10.77 percentage points ($t = 11.33$).

Thus, the same household-demand realization generates a substantially larger price response among firms with below-median institutional absorption capacity. This result is precisely the pattern predicted by Proposition 1 and provides direct evidence that institutional absorption capacity governs the transmission of household demand into prices.

Column (5) shows that this result is not driven by a simple low-capacity level effect. After controlling for the low-capacity indicator, household demand pressure continues to exhibit a strong positive association with contemporaneous returns of 3.94 percentage points ($t = 14.60$). Taken together, the evidence indicates that the contemporaneous pricing consequences of household demand are amplified when elastic institutional capital is scarce.

Table 2: Household Demand and Contemporaneous Price Adjustment

	(1)	(2)	(3)	(4)	(5)
Household latent demand, D^H	3.95*** (16.97)		2.82*** (12.14)	2.79*** (16.12)	
Household demand pressure, $DP^{H,\text{reg}}$		3.67*** (14.36)	2.71*** (11.48)		3.94*** (14.60)
Low institutional capacity				-9.11*** (-11.25)	-2.58*** (-9.99)
$D^H \times$ Low institutional capacity				10.77*** (11.33)	
Lagged controls	Yes	Yes	Yes	Yes	Yes
Quarters	151	149	149	151	149
Avg. cross-sectional N	3814	3829	3829	3814	3829

This table reports quarterly Fama–MacBeth regressions of the contemporaneous raw stock return, $R_{j,t}$, on household latent demand and household demand pressure. Household demand pressure is $DP_{j,t}^{H,\text{reg}} = D_{j,t}^H / \max\{\kappa_{j,t-1}^I, Q_{0.05,t}(\kappa^I)\}$, where $\kappa_{j,t-1}^I$ is lagged institutional absorption capacity and $Q_{0.05,t}(\kappa^I)$ is its quarter-specific fifth percentile. Pressure is winsorized at the 1st and 99th percentiles within quarter before standardization.

Household latent demand and household demand pressure are standardized within quarter. Thus, their coefficients are percentage-point contemporaneous-return effects of a one-standard-deviation increase. Low institutional capacity equals one when lagged capacity is below its within-quarter median. The interaction specification includes both constituent main effects.

All specifications control for lagged profitability, asset growth, dividend payout, log market equity, and momentum. Entries are time-series averages of quarterly cross-sectional slopes. Parentheses report Newey–West t -statistics with four lags. Significance levels: *** $p < 0.01$, ** $p < 0.05$, and * $p < 0.10$.

5 Demand Pressure and Long-Horizon Expected Returns

The previous section shows that household demand pressure is associated with substantial contemporaneous price adjustment and that the effect is strongest when institutional absorption capacity is limited. These findings establish the first link in the paper’s mechanism: household demand interacting with limited elastic institutional capital is associated with larger price movements.

The central question, however, is whether these contemporaneous price movements represent permanent changes in value or valuation distortions that subsequently reverse. If demand pressure creates temporary departures between market prices and fundamental values, stocks experiencing greater demand pressure should subsequently earn lower returns as those distortions gradually dissipate. Moreover, the theory predicts that return reversals should be stronger for demand pressure than for demand alone because pressure captures both the size of the demand realization and the amount of elastic capital available to absorb it.

This section examines the relation between demand pressure and future stock returns. I begin by studying the return predictability associated with household demand and household demand pressure. I then examine the term structure of return reversals, compare demand pressure with raw demand, and evaluate whether limited institutional absorption capacity amplifies the subsequent correction of demand-induced valuation distortions.

5.1 Motivation and Empirical Specification

The absorption-capacity framework predicts that the contemporaneous price effects documented in the previous section should subsequently reverse. The intuition is straightforward. Household demand pressure creates larger price movements when institutional absorption capacity is limited. If these price movements partly reflect valuation distortions rather than permanent changes in fundamental value, stocks experiencing greater demand pressure

should earn lower subsequent returns as those distortions gradually dissipate.

The framework generates two related predictions. First, household demand should predict future returns because unusually strong demand is associated with temporary upward pressure on prices. Second, demand pressure should predict future returns more strongly than household demand alone because it combines information about both the magnitude of demand and the amount of institutional capital available to absorb it.

To examine these predictions, I estimate horizon-specific Fama–MacBeth (1973) regressions of future stock returns on household demand and demand pressure. For horizon h , the baseline specification is

$$R_{j,t \rightarrow t+h} = \alpha_{t,h} + \beta_{t,h} D_{j,t}^H + \Gamma'_{t,h} X_{j,t} + u_{j,t+h}, \quad (32)$$

where $R_{j,t \rightarrow t+h}$ denotes the cumulative stock return from quarter $t+1$ through quarter $t+h$, $D_{j,t}^H$ denotes household latent demand, and $X_{j,t}$ contains the control variables measured at the formation quarter.

To evaluate the role of absorption capacity, I augment the specification with household demand pressure,

$$R_{j,t \rightarrow t+h} = \alpha_{t,h} + \beta_{t,h} D_{j,t}^H + \delta_{t,h} DP_{j,t}^H + \Gamma'_{t,h} X_{j,t} + u_{j,t+h}. \quad (33)$$

If demand pressure captures the mechanism through which household demand affects valuations, the coefficient on $DP_{j,t}^H$ should be negative and should account for a substantial portion of the predictive power associated with raw household demand.

I also estimate interaction specifications that allow the return response to vary with institutional absorption capacity,

$$R_{j,t \rightarrow t+h} = \alpha_{t,h} + \beta_{t,h} D_{j,t}^H + \lambda_{t,h} LowCap_{j,t} + \theta_{t,h} (D_{j,t}^H \times LowCap_{j,t}) + \Gamma'_{t,h} X_{j,t} + u_{j,t+h}, \quad (34)$$

where $LowCap_{j,t}$ identifies stocks with below-median institutional absorption capacity. The framework predicts $\theta_{t,h} < 0$: the same household-demand realization should produce a larger subsequent reversal when institutional absorption capacity is limited.

All specifications are estimated using the Fama–MacBeth procedure, and inference is based on Newey–West standard errors. Unless otherwise noted, continuous demand and pressure measures are standardized within quarter so that coefficients may be interpreted as the return effect of a one-standard-deviation increase in the corresponding variable.

The next subsection begins by examining the baseline relation between household demand and future returns before introducing demand pressure and absorption capacity into the analysis.

5.2 Baseline Return Predictability

I begin by examining whether household demand predicts future returns before introducing absorption capacity and demand pressure. If household demand creates temporary valuation distortions, stocks experiencing unusually strong household demand should subsequently earn lower returns as prices gradually move back toward fundamental values.

The baseline results are reported in Table 3. Household demand exhibits significant return predictability at both short and intermediate horizons. Panel A shows that a one-standard-deviation increase in household demand predicts a 0.42 percentage-point lower return in the subsequent quarter ($t = -4.18$). The effect remains economically meaningful over several future quarters, although it gradually declines in magnitude as the horizon increases.

The cumulative-return results in Panel B reveal that these effects accumulate through time. A one-standard-deviation increase in household demand predicts 1.09 percentage points lower cumulative returns over the subsequent year ($t = -2.89$), 3.59 percentage points lower cumulative returns over the subsequent three years ($t = -4.00$), and 5.58 percentage points lower cumulative returns over the subsequent five years ($t = -3.08$).

These findings indicate that household demand contains economically meaningful in-

formation about future returns. Stocks experiencing unusually strong household demand subsequently underperform, while stocks experiencing unusually weak household demand subsequently outperform. The results are consistent with the view that household demand contributes to temporary deviations between market prices and fundamental values.

The absorption-capacity framework developed in Section 2, however, implies that demand alone is not the economically relevant object. The same household-demand realization should produce different pricing outcomes depending on the amount of elastic institutional capital available to absorb it. The next subsection therefore examines whether demand pressure predicts future returns more strongly than household demand alone.

5.3 Demand Pressure versus Raw Demand

The central prediction of the absorption-capacity framework is that demand pressure should predict future returns more strongly than household demand alone. While household demand captures the magnitude of investor demand, demand pressure additionally incorporates the amount of elastic institutional capital available to absorb that demand. Consequently, if absorption capacity governs the transmission of demand into prices, demand pressure should contain incremental information about future returns beyond that contained in household demand itself.

The evidence strongly supports this prediction. Panel B of Table 3 shows that household demand pressure generates substantially larger return effects than household demand at every horizon. A one-standard-deviation increase in household pressure predicts 3.10 percentage points lower cumulative returns over the subsequent year ($t = -9.80$), 8.39 percentage points lower cumulative returns over the subsequent three years ($t = -8.91$), and 13.81 percentage points lower cumulative returns over the subsequent five years ($t = -8.90$). These effects are more than twice as large as the corresponding coefficients on household demand.

The horse-race specifications provide even stronger evidence. Once household demand pressure is included in the regression, the predictive power of raw household demand largely

disappears. At the five-year horizon, the coefficient on household demand falls to -1.16 percentage points and becomes statistically indistinguishable from zero ($t = -0.71$). In contrast, household pressure remains highly significant, predicting 13.20 percentage points lower cumulative returns ($t = -9.60$).

A similar pattern is visible at intermediate horizons. At the three-year horizon, household demand pressure predicts 8.12 percentage points lower returns ($t = -9.05$) conditional on household demand, whereas the coefficient on household demand is only -0.67 percentage points ($t = -0.88$). At the one-year horizon, demand pressure continues to dominate, predicting 3.12 percentage points lower returns ($t = -9.42$), while household demand has no incremental explanatory power.

These findings indicate that the return-predictive content of household demand is concentrated in the component that occurs when institutional absorption capacity is limited. Put differently, the future-return consequences of household demand depend critically on the ability of institutions to absorb that demand. Once absorption capacity is taken into account, household demand alone contains little additional information about future returns.

Overall, the horse-race results provide direct support for the central mechanism of the paper. The economically relevant object is not demand itself, but demand relative to the supply of elastic institutional capital available to accommodate it. Demand pressure therefore appears to be the primary channel through which household trading translates into long-horizon return predictability.

Table 3: Demand Pressure and Long-Horizon Expected Returns

Panel A: Quarter-by-Quarter Returns Realized Exactly h Quarters After Formation						
Specification	1	2	4	8	12	20
<i>Baseline</i>						
Household demand, D^H	-0.42*** (-4.18)	-0.27*** (-2.64)	-0.29*** (-2.71)	-0.18* (-1.70)	-0.13 (-1.13)	-0.06 (-0.56)
<i>Pressure</i>						
Household demand pressure, $DP^{H,\text{reg}}$	-1.00*** (-11.43)	-0.77*** (-8.46)	-0.68*** (-7.78)	-0.52*** (-5.70)	-0.35*** (-3.87)	-0.14 (-1.10)
<i>Horse Race</i>						
Household demand pressure	-0.07 (-0.66)	-0.02 (-0.15)	-0.00 (-0.00)	0.03 (0.29)	-0.02 (-0.17)	0.00 (0.02)
Pressure household demand	-0.98*** (-12.33)	-0.77*** (-8.42)	-0.68*** (-7.81)	-0.53*** (-6.65)	-0.33*** (-3.98)	-0.13 (-1.14)
<i>Capacity Mechanism</i>						
Household demand $\times$ low institutional capacity	-1.50*** (-6.93)	-1.23*** (-6.26)	-1.22*** (-6.38)	-0.75*** (-3.97)	-0.40** (-2.16)	-0.10 (-0.52)
Quarters	152	152	152	152	152	152
Avg. cross-sectional N	3884	3800	3640	3346	3088	2659

Panel B: Cumulative Future Returns Through Horizon h					
Specification	1	4	8	12	20
<i>Baseline</i>					
Household demand, D^H	-0.42*** (-4.18)	-1.09*** (-2.89)	-2.48*** (-4.03)	-3.59*** (-4.00)	-5.58*** (-3.08)
<i>Pressure</i>					
Household demand pressure, $DP^{H,\text{reg}}$	-1.00*** (-11.43)	-3.10*** (-9.80)	-6.27*** (-9.77)	-8.39*** (-8.91)	-13.81*** (-8.90)
<i>Horse Race</i>					
Household demand pressure	-0.07 (-0.66)	0.04 (0.11)	-0.30 (-0.50)	-0.67 (-0.88)	-1.16 (-0.71)
Pressure household demand	-0.98*** (-12.33)	-3.12*** (-9.42)	-6.18*** (-9.42)	-8.12*** (-9.05)	-13.20*** (-9.60)
<i>Capacity Mechanism</i>					
Household demand $\times$ low institutional capacity	-1.50*** (-6.93)	-5.87*** (-7.21)	-12.11*** (-7.21)	-16.66*** (-6.96)	-25.34*** (-6.13)
Quarters	152	152	152	152	152
Avg. cross-sectional N	3884	3637	3336	3071	2630

This table reports horizon-specific Fama–MacBeth regressions of future raw stock returns on household latent demand and household demand pressure. Panel A uses the stock return realized exactly h quarters after formation, $r_{j,t+h}$, for $h \in \{1, 2, 4, 8, 12, 20\}$. Panel B uses the cumulative return $R_{j,t \rightarrow t+h} = \prod_{k=1}^h (1 + r_{j,t+k}) - 1$ for $h \in \{1, 4, 8, 12, 20\}$.

Household demand pressure is $DP_{j,t}^{H,\text{reg}} = D_{j,t}^H / \max\{\kappa_{j,t-1}^I, Q_{0.05,t}(\kappa^I)\}$, where $\kappa_{j,t-1}^I$ is lagged institutional absorption capacity and $Q_{0.05,t}(\kappa^I)$ is its quarter-specific fifth percentile. Pressure is winsorized at the 1st and 99th percentiles within quarter. Household demand and pressure are then standardized within quarter; coefficients are percentage-point effects of a one-standard-deviation increase. The horse-race rows report coefficients from a joint regression. The capacity-mechanism row is the interaction coefficient from a regression including household demand and the low-capacity indicator, where low capacity equals one for below-median lagged institutional capacity.

All specifications control for profitability, asset growth, dividend payout, log market equity, and momentum at formation quarter t . Entries are time-series averages of quarterly cross-sectional slopes. Parentheses report Newey–West t -statistics with four lags. Significance levels: *** $p < 0.01$, ** $p < 0.05$, and * $p < 0.10$.

5.4 Term Structure of Return Reversals

The previous subsection shows that demand pressure dominates raw household demand in predicting future returns. I now examine how these return effects evolve across horizons. The term structure provides a direct test of the theoretical prediction that demand-induced valuation distortions should reverse gradually rather than disappear immediately after the demand realization.

Figure 1 plots horizon-specific Fama–MacBeth coefficients for household demand and household demand pressure using quarter-by-quarter future returns. Several findings stand out.

First, both household demand and household demand pressure predict subsequent return reversals. Stocks experiencing unusually strong household demand earn lower future returns, while stocks experiencing unusually weak household demand earn higher future returns. This pattern is consistent with the view that household demand contributes to temporary deviations between market prices and fundamental values.

Second, demand pressure produces substantially stronger return predictability than household demand alone at nearly every horizon. The quarter-one coefficient for household demand pressure is approximately -1.0 percentage point, compared with roughly -0.4 percentage points for household demand. The gap remains economically large throughout the return horizon, indicating that accounting for institutional absorption capacity materially strengthens the ability of demand measures to identify future valuation reversals.

Third, the return response decays gradually rather than disappearing immediately. Demand pressure predicts significantly lower returns over multiple future quarters, suggesting that the associated valuation distortions are not corrected instantaneously. Instead, the evidence points to a prolonged adjustment process in which prices gradually move back toward fundamental value as demand pressure dissipates.

The persistence of the return response is important because it is difficult to reconcile with a purely contemporaneous price effect. If household demand only generated short-lived price

movements, predictability would disappear quickly after the formation quarter. Instead, the reversal unfolds gradually across successive quarters, consistent with the notion that demand pressure creates valuation distortions that remain embedded in prices for extended periods.

Overall, the term structure provides direct support for the absorption-capacity framework. The future-return consequences of household demand are largest when demand is scaled by institutional absorption capacity, and the resulting reversals persist over multiple years. These findings suggest that the economically relevant object is not household demand itself but household demand relative to the quantity of elastic institutional capital available to absorb it.

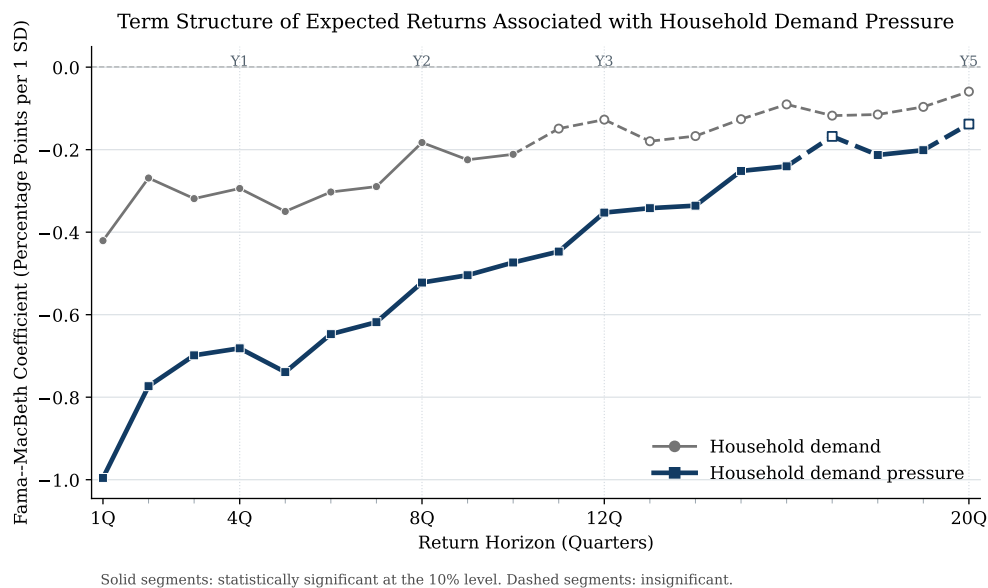


Figure 1: Term Structure of Expected Returns Associated with Household Demand Pressure

Notes: This figure plots horizon-specific Fama-MacBeth coefficients from regressions of future stock returns on household latent demand and household demand pressure. Household demand pressure is defined as household latent demand divided by lagged institutional absorption capacity. Coefficients are expressed as percentage-point future-return effects of a one-standard-deviation increase in the explanatory variable. Solid line segments indicate statistically significant estimates, while dashed segments indicate estimates that are not significant at conventional levels. The figure shows that household demand pressure generates considerably larger and more persistent return reversals than household demand alone.

5.5 Low-Capacity Amplification

The central mechanism of the paper is that the pricing consequences of household demand depend on the amount of elastic institutional capital available to absorb it. While the preceding results show that demand pressure predicts future returns more strongly than household demand alone, the most direct test of the mechanism is whether the same household-demand realization generates larger subsequent reversals when institutional absorption capacity is limited.

Table 3 evaluates this prediction using an interaction between household demand and an indicator for below-median institutional absorption capacity. The interaction coefficient measures the incremental return response associated with household demand among low-capacity firms relative to high-capacity firms.

The results provide strong support for the absorption-capacity framework. At the one-quarter horizon, a one-standard-deviation increase in household demand predicts an additional 1.50 percentage-point reversal among low-capacity firms ($t = -6.93$). The effect becomes substantially larger at longer horizons. The corresponding coefficients equal -5.87 percentage points at the one-year horizon ($t = -7.21$), -16.66 percentage points at the three-year horizon ($t = -6.96$), and -25.34 percentage points at the five-year horizon ($t = -6.13$).

These estimates indicate that the return-predictive content of household demand is highly concentrated in firms with limited institutional absorption capacity. The same household-demand realization generates relatively modest future return effects when institutional capacity is abundant, but produces substantially larger and more persistent reversals when the supply of elastic institutional capital is scarce.

The magnitude of the interaction effect is economically striking. At the five-year horizon, the incremental reversal associated with low institutional capacity is considerably larger than the baseline return effect of household demand itself. This result suggests that institutional absorption capacity is not merely a secondary amplifier of demand-induced price movements. Rather, it is a primary determinant of the extent to which household demand translates into

long-run valuation distortions.

More broadly, these findings help distinguish the absorption-capacity mechanism from alternative explanations based solely on investor demand. If demand alone were responsible for return predictability, the future-return response would be similar across firms experiencing comparable household-demand realizations. Instead, the data show that return reversals are systematically larger among firms with limited institutional absorption capacity. This pattern is precisely the comparative-static prediction of the framework developed in Section 2 and provides direct evidence that the availability of elastic institutional capital governs the transmission of household demand into long-horizon expected returns.

5.6 Cumulative Return Predictability

The quarter-by-quarter evidence establishes that demand pressure predicts a persistent sequence of future return reversals. An alternative way to assess the economic importance of these effects is to examine cumulative returns over long holding horizons.

Panel B of Table 3 reports cumulative-return regressions at horizons ranging from one quarter to five years. The results show that the effects of demand pressure accumulate substantially through time.

Household demand predicts lower future cumulative returns at all horizons. A one-standard-deviation increase in household demand is associated with 1.09 percentage points lower cumulative returns over the subsequent year ($t = -2.89$), 3.59 percentage points lower cumulative returns over the subsequent three years ($t = -4.00$), and 5.58 percentage points lower cumulative returns over the subsequent five years ($t = -3.08$).

The corresponding effects for household demand pressure are considerably larger. A one-standard-deviation increase in demand pressure predicts 3.10 percentage points lower cumulative returns over the subsequent year ($t = -9.80$), 8.39 percentage points lower cumulative returns over the subsequent three years ($t = -8.91$), and 13.81 percentage points lower cumulative returns over the subsequent five years ($t = -8.90$).

These estimates indicate that the effects of demand pressure are not confined to a brief post-formation correction. Instead, the return response continues to accumulate as prices gradually converge toward fundamental value. The growing magnitude of the coefficients across horizons suggests that demand-induced valuation distortions dissipate only slowly.

The horse-race specifications reinforce this interpretation. Once demand pressure is included, household demand contributes little incremental explanatory power, whereas demand pressure remains highly significant at all economically relevant horizons. At the five-year horizon, household demand pressure predicts 13.20 percentage points lower cumulative returns ($t = -9.60$), while the coefficient on household demand is economically small and statistically insignificant.

Taken together, the cumulative-return evidence suggests that institutional absorption capacity is a first-order determinant of the long-run pricing consequences of household demand. Stocks experiencing elevated demand pressure subsequently underperform by economically large amounts, and these effects continue to accumulate for several years after the initial demand realization.

The return-predictability results are not driven solely by microcap or low-priced stocks. Appendix Table 5 re-estimates the baseline specifications after excluding firms with prices below \$5, firms below the quarterly NYSE 10th-percentile size cutoff, and both groups simultaneously. Although the magnitudes are smaller than in the unrestricted sample, household demand pressure remains strongly predictive of future returns, continues to dominate raw household demand in horse-race specifications, and retains a large interaction with low institutional absorption capacity. These results indicate that the cross-sectional relation between demand pressure and expected returns extends beyond the smallest and lowest-priced segment of the market.

5.7 Portfolio Evidence

The preceding regressions show that household demand pressure predicts subsequent return reversals in the cross section. To complement the Fama–MacBeth evidence, I examine portfolio strategies formed directly on household demand pressure.

Each quarter, firms are sorted into quintiles based on regularized household demand pressure. Portfolio Q1 contains the highest-pressure firms, while portfolio Q5 contains the lowest-pressure firms. The reported zero-cost portfolio is Q5–Q1, which buys low-pressure firms and shorts high-pressure firms. If household demand pressure creates temporary valuation distortions, stocks in the highest-pressure portfolio should subsequently underperform, resulting in positive returns for the Q5–Q1 strategy.

Table 4 reports the resulting raw return spreads and six-factor alphas. The equal-weighted results reveal economically meaningful return differences across pressure portfolios. The Q5–Q1 strategy earns a raw return of 2.30 percent in the subsequent quarter ($t = 4.77$), increasing to 9.66 percent over the subsequent year ($t = 4.86$), 28.33 percent over the subsequent three years ($t = 5.22$), and 45.70 percent over the subsequent five years ($t = 4.50$).

The corresponding six-factor alphas are also substantial. The equal-weighted Q5–Q1 portfolio earns an alpha of 2.49 percent in the next quarter ($t = 6.62$) and 8.43 percent over the subsequent year ($t = 5.48$). The alpha remains positive at longer horizons, although its statistical precision declines as the holding horizon increases.

The value-weighted results differ markedly. Both raw return spreads and risk-adjusted alphas are considerably smaller and generally statistically insignificant. Thus, the return effects associated with household demand pressure are concentrated primarily among smaller firms rather than among large capitalization stocks.

This pattern is consistent with the broader interpretation of the paper. Demand-induced valuation distortions should be most pronounced where institutional absorption capacity is limited and where arbitrage capital is less effective. Smaller firms tend to exhibit both char-

acteristics, making them natural candidates for stronger pressure-related return reversals.

At the same time, the portfolio results should be interpreted as supporting evidence rather than the paper’s primary identification strategy. The cross-sectional Fama–MacBeth regressions remain the central empirical evidence because they survive conventional low-price and microcap screens and continue to show that demand pressure, rather than household demand alone, drives long-horizon return predictability. The portfolio evidence is valuable because it illustrates the economic magnitude of the effect and highlights the market segments in which demand pressure appears to be most important.

Taken together, the portfolio results reinforce the regression evidence. Stocks experiencing the highest levels of household demand pressure subsequently underperform, while stocks experiencing the lowest levels of pressure subsequently outperform. The concentration of the effect in equal-weighted portfolios is consistent with the view that limited institutional absorption capacity contributes to persistent demand-induced valuation distortions.

5.8 Economic Magnitudes

The preceding results indicate that household demand pressure is strongly related to future stock returns. This subsection assesses the economic importance of these effects.

The Fama–MacBeth estimates imply that a one-standard-deviation increase in household demand pressure predicts approximately 1.00 percentage point lower next-quarter returns. The effect grows substantially at longer horizons, predicting 3.10 percentage points lower cumulative returns over the subsequent year, 8.39 percentage points lower cumulative returns over the subsequent three years, and 13.81 percentage points lower cumulative returns over the subsequent five years.

These magnitudes are economically large. At the five-year horizon, the return effect associated with household demand pressure is more than twice as large as the corresponding effect of household demand alone. The horse-race results indicate that nearly all of the long-horizon predictive content of household demand is concentrated in the component that

Table 4: Household Demand Pressure Quintile Portfolios

	1Q	1Y	3Y	5Y
<i>Panel A: Equal-Weighted</i>				
Q5–Q1 raw spread	2.30*** (4.77)	9.66*** (4.86)	28.33*** (5.22)	45.70*** (4.50)
Q5–Q1 FF6 alpha	2.49*** (6.62)	8.43*** (5.48)	11.93* (1.96)	10.67 (0.78)
Quarters	149	149	149	149
Avg. Q1/Q5 constituents	747	688	563	469
<i>Panel B: Value-Weighted</i>				
Q5–Q1 raw spread	0.43 (0.81)	0.81 (0.38)	-1.90 (-0.27)	-2.50 (-0.22)
Q5–Q1 FF6 alpha	-0.42 (-1.13)	-5.34*** (-3.37)	-2.66 (-0.51)	-9.60 (-0.75)
Quarters	149	149	149	149
Avg. Q1/Q5 constituents	747	688	563	469

Each quarter, firms are sorted into quintiles on regularized household demand pressure, $DP_{j,t}^{H,\text{reg}} = D_{j,t}^H / \max\{\kappa_{j,t-1}^I, Q_{0.05,t}(\kappa^I)\}$. Q1 contains the highest-pressure firms and Q5 the lowest-pressure firms. The reported zero-cost portfolio is Q5–Q1, long low-pressure firms and short high-pressure firms.

Raw spreads are direct cumulative Q5–Q1 returns from $t + 1$ through the indicated horizon. FF6 alpha is estimated directly by regressing that same cumulative return on market, SMB, HML, RMW, CMA, and momentum factors compounded over the identical horizon. EW denotes equal weighting; VW uses market equity at formation. Average constituents is the mean number of firms in each extreme portfolio.

Returns and alphas are in percent. Parentheses report Newey–West t -statistics, with $\max(4, h - 1)$ lags for the horizon- h overlapping-return regression. Significance levels: *** $p < 0.01$, ** $p < 0.05$, and * $p < 0.10$.

occurs when institutional absorption capacity is limited.

The low-capacity interaction estimates imply even larger effects. Relative to high-capacity firms, the same household-demand realization predicts an additional 5.87 percentage-point reversal over the subsequent year, a 16.66 percentage-point reversal over the subsequent three years, and a 25.34 percentage-point reversal over the subsequent five years among firms with below-median institutional absorption capacity. These estimates suggest that the availability of elastic institutional capital is a first-order determinant of the long-run pricing consequences of household demand.

The portfolio evidence conveys a similar message. Firms in the lowest-pressure quintile substantially outperform firms in the highest-pressure quintile over subsequent years, with the strongest effects concentrated among smaller firms. Although portfolio profitability is less robust than the cross-sectional regression evidence, it nevertheless illustrates the large economic consequences associated with differences in household demand pressure.

Overall, the evidence suggests that household demand pressure generates economically meaningful valuation distortions. These distortions are largest when household demand encounters limited institutional absorption capacity and subsequently reverse over horizons extending several years. The next section investigates the mechanism underlying these return reversals by distinguishing between innovation pressure and persistent pressure and by examining the ownership dynamics surrounding high-pressure episodes.

6 Mechanism

The preceding section establishes that household demand pressure predicts economically large and persistent return reversals and that these effects are strongest when institutional absorption capacity is limited. These findings are consistent with the absorption-capacity framework, but they do not by themselves reveal the mechanism through which demand pressure generates long-horizon return predictability.

The theory distinguishes between two conceptually different channels. First, new household-demand realizations can generate immediate price pressure by requiring institutions to absorb an unexpected demand imbalance. Second, persistent household demand can sustain the resulting valuation distortion by keeping demand elevated after the initial shock has occurred. These channels have different implications for the timing of return predictability. Innovation pressure should be most strongly associated with contemporaneous price adjustment, whereas persistent pressure should account for the gradual reversal of demand-induced valuation distortions over subsequent years.

This section evaluates these predictions directly. I first decompose household demand pressure into innovation and persistent components and examine their distinct contributions to contemporaneous price adjustment and future returns. I then study ownership dynamics around high-pressure episodes to identify which investor groups initiate demand pressure and which investors ultimately absorb it. Together, these tests provide direct evidence on the mechanism linking household demand, institutional absorption capacity, and long-horizon expected returns.

6.1 Innovation Pressure versus Persistent Pressure

The theoretical framework distinguishes between two channels through which household demand pressure affects prices and expected returns. Innovation pressure captures newly arriving household demand that institutions must absorb in the current quarter. Persistent

pressure captures the component of household demand that remains embedded in investor portfolios and therefore sustains valuation distortions through time.

Table ?? evaluates the distinct roles of these two components. Panel A reports contemporaneous-return regressions. Innovation pressure exhibits a strong positive relation with contemporaneous returns. A one-standard-deviation increase in innovation pressure is associated with a 10.47 percentage-point increase in same-quarter returns ($t = 21.79$). In contrast, persistent pressure is negatively related to contemporaneous returns, with a coefficient of -2.32 percentage points ($t = -9.42$). These results suggest that newly arriving household demand generates the immediate price response, whereas persistent pressure is associated with the beginning of the subsequent correction.

Panel B examines future return reversals. Both innovation pressure and persistent pressure predict lower future returns, but persistent pressure becomes substantially more important as the horizon lengthens. At the one-quarter horizon, the two effects are similar in magnitude, predicting approximately 0.7 percentage-point lower returns. At longer horizons, however, persistent pressure dominates. At the five-year horizon, a one-standard-deviation increase in persistent pressure predicts 12.19 percentage points lower cumulative returns ($t = -8.88$), compared with 4.84 percentage points for innovation pressure ($t = -5.01$).

The comparison with raw household pressure is informative. The coefficient on persistent pressure closely tracks that of raw pressure across horizons, whereas the innovation component accounts for a substantially smaller fraction of the total return response. This pattern suggests that innovation pressure creates the initial valuation distortion, while persistent pressure sustains that distortion and drives the majority of the subsequent reversal.

Panel C provides complementary evidence using partial R^2 statistics. At every long horizon, persistent pressure contributes more incremental explanatory power than innovation pressure. At the five-year horizon, the partial R^2 of persistent pressure conditional on innovation pressure is 0.0035, compared with only 0.0012 for innovation pressure conditional on persistent pressure. Thus, most of the long-horizon predictive content of household demand

pressure resides in its persistent component.

Taken together, these findings strongly support the mechanism proposed in Section 2. Innovation pressure governs contemporaneous price adjustment, whereas persistent pressure explains the slow reversal of demand-induced valuation distortions. The evidence therefore suggests that household demand affects prices not only through the arrival of new demand shocks but also through the persistence of demand after those shocks occur.

Table 5: Innovation Pressure, Persistent Pressure, and the Dynamics of Return Reversals

	1Q	1Y	3Y	5Y
<i>Panel A: Baseline</i>				
Household demand	-0.43*** (-4.23)	-1.05*** (-2.72)	-3.35*** (-3.99)	-5.14*** (-2.90)
Household pressure	-1.00*** (-11.43)	-3.10*** (-9.80)	-8.39*** (-8.91)	-13.81*** (-8.90)
Household demand pressure	-0.07 (-0.66)	0.04 (0.11)	-0.67 (-0.88)	-1.16 (-0.71)
Pressure household demand	-0.98*** (-12.33)	-3.12*** (-9.42)	-8.12*** (-9.05)	-13.20*** (-9.60)
Demand $\times$ low capacity	-1.75*** (-7.83)	-6.35*** (-7.45)	-18.18*** (-7.53)	-27.07*** (-6.46)
Quarters	149	149	149	149
Avg. cross-sectional N	3752	3516	2976	2553
<i>Panel B: Price $\geq$ \$5</i>				
Household demand	-0.20** (-2.19)	-0.36 (-1.10)	-1.67** (-2.14)	-2.80** (-1.99)
Household pressure	-0.36*** (-5.54)	-1.23*** (-5.91)	-3.83*** (-6.67)	-6.76*** (-7.98)
Household demand pressure	-0.07 (-0.77)	0.13 (0.40)	-0.22 (-0.31)	-0.47 (-0.35)
Pressure household demand	-0.34*** (-6.29)	-1.28*** (-6.79)	-3.77*** (-8.14)	-6.53*** (-10.67)
Demand $\times$ low capacity	-0.60*** (-3.53)	-2.56*** (-4.79)	-8.86*** (-7.35)	-13.13*** (-6.40)
Quarters	149	149	149	149
Avg. cross-sectional N	2889	2755	2411	2115

Panel C: Exclude Bottom NYSE Size Decile

Household demand	-0.15 (-1.64)	-0.25 (-0.70)	-1.17 (-1.62)	-1.47 (-1.04)
Household pressure	-0.34*** (-5.53)	-1.10*** (-5.18)	-2.90*** (-6.34)	-4.34*** (-5.30)
Household demand pressure	-0.01 (-0.14)	0.24 (0.64)	-0.13 (-0.16)	0.05 (0.03)

6.2 Ownership Dynamics

The return-predictability results indicate that stocks experiencing elevated household demand pressure subsequently underperform for several years. This pattern raises an important mechanism question: who creates demand pressure, and who ultimately absorbs it?

To address this question, I examine ownership dynamics around the onset of high-demand-pressure episodes. Specifically, I identify formation quarters in which a stock enters the highest demand-pressure group after not belonging to that group in the previous quarter. I then track ownership shares from three quarters before the event through ten quarters afterward.

Table 6 reports the resulting ownership paths for the major investor groups. Several findings stand out.

First, high-demand-pressure episodes are associated with an increase in household ownership. Household ownership rises by 0.83 percentage points from quarter $t - 1$ to quarter t ($t = 2.35$), while nearly all institutional investor groups reduce ownership over the same interval. Investment advisors, banks, insurance companies, pension funds, and other institutions all exhibit negative formation-quarter ownership changes. Thus, the onset of demand pressure is primarily associated with increased household ownership rather than broad institutional accumulation.

Second, the ownership dynamics reverse after the formation quarter. Household ownership declines steadily over the subsequent ten quarters, falling by 6.42 percentage points ($t = -11.14$). At the same time, institutional ownership increases across nearly every investor category. Mutual funds increase ownership by 2.73 percentage points ($t = 8.08$), investment advisors by 2.29 percentage points ($t = 7.13$), and banks by 0.75 percentage points ($t = 5.40$). Insurance companies, pension funds, and other institutions also increase ownership significantly.

These patterns reveal a gradual transfer of ownership from households to institutions. Households appear to be the primary source of the demand imbalance that generates pres-

sure, while institutions subsequently absorb the resulting positions over time.

The ownership evidence helps explain why return reversals unfold gradually rather than immediately. The initial household-demand episode may elevate prices quickly, but the correction process depends on the speed with which institutional investors are willing to absorb household positions. Because this absorption occurs over multiple years rather than within a single quarter, the associated valuation distortions can remain embedded in prices for extended periods.

More broadly, the ownership dynamics provide direct support for the absorption-capacity mechanism developed in Section 2. Demand pressure does not appear to arise from simultaneous buying by all investor groups. Instead, households initiate high-pressure episodes, while institutions act as the marginal absorbers whose willingness to supply liquidity ultimately determines the magnitude and persistence of the resulting valuation distortion.

The next subsection investigates this absorption mechanism in greater detail by examining which institutional investors account for the subsequent ownership response.

Table 6: Ownership Dynamics Around High Demand-Pressure Episodes

Investor type	$t - 3$	$t - 1$	t	$t + 10$	$\Delta[-1, 0]$	$\Delta[0, 10]$
Household/outside	61.89	60.77	61.59	55.18	0.83** (2.35)	-6.42*** (-11.14)
Banks	6.06	6.22	6.06	6.81	-0.16*** (-2.93)	0.75*** (5.40)
Insurance companies	1.79	1.81	1.78	1.96	-0.03** (-2.11)	0.18*** (2.81)
Investment advisors	9.67	10.01	9.63	11.93	-0.37*** (-3.13)	2.29*** (7.13)
Mutual funds	18.53	19.05	18.84	21.58	-0.21 (-1.22)	2.73*** (8.08)
Pension funds	1.46	1.49	1.47	1.71	-0.02** (-2.10)	0.24*** (4.50)
Other institutions	0.59	0.62	0.60	0.76	-0.02** (-2.05)	0.16*** (3.44)

This table reports investor-type ownership dynamics around the onset of high aggregate latent demand. An onset event occurs when a firm enters the top within-quarter latent-demand quintile at quarter t after not belonging to that quintile at $t - 1$. The event sample contains 19,642 firm-quarter events across 149 formation quarters.

Ownership is measured as the number of shares held by a given investor type divided by the firm's total shares outstanding. Columns $t - 3$, $t - 1$, t , and $t + 10$ report ownership levels as percentages of shares outstanding. The final two columns report percentage-point changes in ownership from $t - 1$ to t and from t to $t + 10$, respectively.

The sample is balanced over the complete event window from $t - 3$ through $t + 10$. Missing ownership for a particular investor type is set to zero only when the corresponding firm-quarter is otherwise observed. Estimates first average across firms within each formation quarter and then average across formation quarters.

Newey–West t -statistics with four lags are reported in parentheses for the ownership changes. Significance levels are *** $p < 0.01$, ** $p < 0.05$, and * $p < 0.10$.

The household/outside category is the manager-zero residual sector constructed from shares outstanding net of reported 13F holdings and also includes pooled small institutions. It should therefore not be interpreted as a directly observed pure retail-investor portfolio.

6.3 Who Initiates and Who Absorbs Demand Pressure?

The ownership-dynamics evidence indicates that high-demand-pressure episodes are associated with an increase in household ownership and a subsequent increase in institutional ownership. Table 7 provides a more direct test by examining which investor groups initiate demand-pressure episodes and which groups ultimately absorb them.

The initiation results point clearly to the household sector. At the formation of a high-pressure episode, household ownership increases by 1.01 percentage points ($t = 3.29$), while ownership declines across nearly all institutional categories. Mutual funds, investment advisors, banks, insurance companies, pension funds, and other institutions all reduce ownership at formation. Thus, high-demand-pressure episodes are not characterized by broad institutional accumulation. Instead, they are initiated primarily by households.

The absorption results reveal a very different pattern. Over the subsequent year, household ownership declines by 2.08 percentage points ($t = -12.24$), while institutional ownership increases across every major investor category. The largest ownership increases occur among mutual funds, which increase ownership by 0.84 percentage points ($t = 7.72$), and investment advisors, which increase ownership by 0.70 percentage points ($t = 9.11$). Banks, insurance companies, pension funds, and other institutions also absorb shares, although their contributions are economically smaller.

The same pattern becomes even stronger over the subsequent three years. Household ownership falls by 4.07 percentage points ($t = -13.13$), while mutual funds and investment advisors increase ownership by 1.70 and 1.28 percentage points, respectively. These ownership changes indicate a gradual transfer of shares from households to institutions rather than a contemporaneous reallocation occurring within a single quarter.

An additional feature of the results is that the composition of absorbers changes with the horizon. Mutual funds and investment advisors account for the largest ownership increases during the first year after a high-pressure episode, suggesting that relatively active institutions provide the initial absorption of household demand. At longer horizons, ownership

increases are observed across all major institutional categories, including pension funds and insurance companies. Although these investors absorb considerably smaller amounts than mutual funds and investment advisors, their ownership increases between years one and three suggest that the ultimate absorption of household demand pressure is a gradual process that extends beyond the investors most actively involved in short-run trading. This pattern is consistent with the multi-year return reversals documented in Section 5 and reinforces the view that institutional absorption occurs progressively rather than immediately.

The results provide direct evidence for the absorption-capacity mechanism developed throughout the paper. Households are the primary source of demand-pressure episodes, whereas institutions act as the marginal absorbers of that pressure. The gradual nature of the ownership transfer is consistent with the long-horizon return reversals documented in Section 5 and suggests that institutional absorption occurs over multiple years rather than immediately after the initial demand shock.

Taken together, the evidence from innovation pressure, persistent pressure, ownership dynamics, and investor-type ownership changes paints a coherent picture. Household demand shocks create the initial valuation distortion, persistent demand pressure keeps that distortion embedded in prices, and institutional absorption capacity determines the speed with which prices ultimately converge back toward fundamental value.

Table 7: Who Initiates and Who Absorbs Household Demand Pressure?

Investor type	Initiation	1Y absorption	3Y absorption
	1.01*** (3.29)	-2.08*** (-12.24)	-4.07*** (-13.13)
Households / residual	-0.19*** (-5.19)	0.36*** (7.99)	0.65*** (7.77)
Banks	-0.05*** (-4.16)	0.10*** (5.89)	0.24*** (5.74)
Insurance companies	-0.26*** (-2.66)	0.70*** (9.11)	1.28*** (8.37)
Investment advisors	-0.45*** (-3.03)	0.84*** (7.72)	1.70*** (8.21)
Mutual funds	-0.04*** (-3.62)	0.04*** (2.91)	0.10*** (4.52)
Pension funds	-0.02* (-1.78)	0.04* (1.88)	0.08*** (3.76)
Other institutions			
Controls	Yes	Yes	Yes
Quarters	151	151	151
Average cross-sectional N	3789	3403	2864

Each quarter, regularized household demand pressure is $DP_{j,t}^{H,\text{reg}} = D_{j,t}^H / \max\{\kappa_{j,t-1}^I, Q_{0.05,t}(\kappa^I)\}$. The ratio is winsorized at the 1st and 99th percentiles within quarter before ranking. A high-pressure onset is a firm-quarter that enters the top within-quarter pressure quintile at t after not being in that quintile at $t - 1$.

The dependent variables are changes in each group's ownership share, measured as a fraction of shares outstanding. Initiation is $Own_{j,t}^\tau - Own_{j,t-1}^\tau$. One- and three-year absorption are $Own_{j,t+4}^\tau - Own_{j,t}^\tau$ and $Own_{j,t+12}^\tau - Own_{j,t}^\tau$, respectively. Each cell reports the coefficient on the high-pressure-onset indicator from a Fama–MacBeth regression; a positive coefficient denotes an ownership increase following the onset relative to other firms in the same formation quarter. Missing ownership for a type within an observed firm-quarter is set to zero.

Controls are profitability, asset growth, dividend payout, log market equity, and momentum, all measured at formation. Parentheses contain Newey–West t -statistics with four lags. Coefficients are reported in percentage points of shares outstanding. The household/residual category is manager-zero ownership and includes non-13F ownership; it is a residual sector rather than a pure directly observed retail measure. Significance levels are *** $p < 0.01$, ** $p < 0.05$, and * $p < 0.10$.

7 Absorption Capacity versus Limits to Arbitrage

The preceding sections show that household demand pressure predicts both contemporaneous price adjustment and long-horizon return reversals and that these effects are strongest when institutional absorption capacity is limited. A natural concern, however, is that absorption capacity may simply proxy for more familiar limits-to-arbitrage characteristics.

Several established variables are known to influence the persistence of mispricing. Small firms tend to be less liquid and more costly to arbitrage. High-idiosyncratic-volatility firms expose arbitrageurs to greater residual risk. Firms with limited analyst coverage typically have weaker information production and less monitoring by sophisticated investors. Similarly, institutional ownership and ownership concentration may affect the amount of capital available to correct valuation distortions.

Because institutional absorption capacity is constructed using ownership and investor-specific elasticities, it is potentially correlated with these traditional measures. Consequently, an observed relation between demand pressure and future returns could reflect conventional limits-to-arbitrage effects rather than a distinct absorption-capacity mechanism.

This section evaluates that possibility directly. I compare the explanatory power of institutional absorption capacity with standard limits-to-arbitrage proxies and examine whether the demand-pressure effect survives after these alternative explanations are taken into account. The key question is whether absorption capacity contains information beyond firm size, idiosyncratic volatility, analyst coverage, and institutional ownership.

If institutional absorption capacity merely reproduces these traditional characteristics, its predictive power should disappear once they are included in the analysis. Conversely, if absorption capacity represents a distinct economic mechanism governing the transmission of household demand into prices, its effects should remain significant even after controlling for conventional limits-to-arbitrage proxies.

7.1 Absorption Capacity and Conventional Limits to Arbitrage

Table 8 compares institutional absorption capacity with several widely used limits-to-arbitrage proxies. Institutional absorption capacity exhibits a strong negative interaction with household demand at every horizon. The interaction coefficient equals -1.50 percentage points at the one-quarter horizon ($t = -6.93$), grows to -5.87 percentage points at the one-year horizon ($t = -7.21$), reaches -16.66 percentage points at the three-year horizon ($t = -6.96$), and remains economically large at -25.34 percentage points over five years ($t = -6.13$). Thus, household demand generates substantially larger future return reversals among firms with limited institutional absorption capacity.

The same general pattern appears for conventional limits-to-arbitrage proxies. The return consequences of household demand are stronger among small firms, high-idiosyncratic-volatility firms, firms with limited analyst coverage, and firms with low institutional ownership. In each case, the interaction coefficients become increasingly negative as the return horizon lengthens, consistent with the view that demand-induced valuation distortions are more persistent when arbitrage capital is limited.

Because each interaction is estimated separately on a common sample, the magnitudes provide a direct comparison across alternative mechanisms. At the five-year horizon, the strongest amplification is associated with low institutional ownership (-30.85 percentage points), followed by small firms (-27.59), low institutional capacity (-25.34), high idiosyncratic volatility (-21.13), and low analyst coverage (-16.64). Institutional absorption capacity therefore exhibits an economic magnitude comparable to the most widely used limits-to-arbitrage proxies.

At the same time, these specifications do not establish whether absorption capacity contains information beyond the conventional proxies because each interaction is estimated in isolation. The key question is therefore whether institutional absorption capacity remains important once firm size, idiosyncratic volatility, analyst coverage, and institutional ownership are considered simultaneously. The next subsection addresses this question using joint

horse-race regressions.

Table 8: Absorption Capacity and Conventional Limits-to-Arbitrage Proxies

Interaction	1Q	1Y	3Y	5Y
Demand $\times$ Low institutional capacity	-1.50*** (-6.93)	-5.87*** (-7.21)	-16.66*** (-6.96)	-25.34*** (-6.13)
Demand $\times$ Small firm	-1.40*** (-6.70)	-4.99*** (-5.46)	-14.97*** (-8.91)	-27.59*** (-7.36)
Demand $\times$ High IVOL	-1.26*** (-7.00)	-4.40*** (-7.36)	-13.26*** (-7.91)	-21.13*** (-7.11)
Demand $\times$ Low analyst coverage	-1.05*** (-4.93)	-3.38*** (-7.77)	-10.13*** (-9.39)	-16.64*** (-10.14)
Demand $\times$ Low institutional ownership	-1.60*** (-7.63)	-6.58*** (-7.94)	-20.65*** (-7.54)	-30.85*** (-6.70)
Controls	Yes	Yes	Yes	Yes
Common-sample quarters	152	152	152	152
Common-sample average N	3884	3637	3071	2630

This table compares the amplification of household-demand return predictability across institutional absorption capacity and conventional limits-to-arbitrage proxies. For every row and horizon, a separate Fama–MacBeth regression of cumulative future returns includes standardized household latent demand, the stated dummy, their interaction, and profitability, asset growth, dividend payout, log market equity, and momentum. The table reports only the interaction coefficient. Thus, a negative coefficient means that a one-standard-deviation increase in household demand predicts a larger subsequent return reversal in the indicated difficult-to-arbitrage group.

Low institutional capacity identifies firms with below-median lagged institutional absorption capacity, $\kappa_{j,t-1}^I$. Small firms are below the within-quarter median of log market equity. High IVOL firms are at or above the within-quarter median of lagged 12-month Fama–French five-factor residual volatility. Low analyst coverage includes zero-coverage firms and covered firms at or below the within-quarter median of positive analyst coverage. Low institutional ownership identifies firms below the within-quarter median of lagged aggregate institutional ownership. Each model is estimated on the common sample with available IVOL and analyst coverage, so magnitudes are directly comparable across rows.

Parentheses contain Newey–West t -statistics with four lags. Coefficients are percentage-point cumulative-return effects of a one-standard-deviation increase in household latent demand for the indicated group relative to its complement. Significance levels are *** $p < 0.01$, ** $p < 0.05$, and * $p < 0.10$.

7.2 Joint Horse-Race Tests

The preceding results show that institutional absorption capacity, firm size, idiosyncratic volatility, analyst coverage, and institutional ownership all amplify the return consequences of household demand when considered individually. Because these characteristics are corre-

lated, however, the separate interaction specifications do not establish whether absorption capacity contains information beyond conventional limits-to-arbitrage proxies.

Table 9 places institutional absorption capacity and conventional limits-to-arbitrage proxies in the same Fama–MacBeth regression. The interaction between household demand and low institutional capacity remains negative and statistically significant at every horizon: -0.72 percentage points at the one-quarter horizon ($t = -3.33$), -2.29 percentage points at the one-year horizon ($t = -3.36$), -4.14 percentage points at the three-year horizon ($t = -3.22$), and -7.58 percentage points at the five-year horizon ($t = -2.44$). Thus, institutional absorption capacity survives the horse race and contains information not subsumed by firm size, idiosyncratic volatility, analyst coverage, or institutional ownership.

The economic magnitude of the capacity interaction is comparable to those of the conventional limits-to-arbitrage proxies. At the three-year horizon, the capacity coefficient equals -4.14 percentage points, compared with -5.68 for small firms, -7.07 for high idiosyncratic volatility, -3.31 for low analyst coverage, and -11.81 for low institutional ownership. At the five-year horizon, the corresponding coefficients are -7.58, -13.78, -10.00, -5.98, and -12.33 percentage points. Institutional absorption capacity is therefore not the single strongest predictor in the horse race, but its economic effects are of comparable magnitude to the most widely studied limits-to-arbitrage characteristics.

More importantly, institutional absorption capacity differs conceptually from these traditional proxies. Firm size, idiosyncratic volatility, analyst coverage, and institutional ownership primarily describe the difficulty of correcting mispricing once it has emerged. Institutional absorption capacity instead measures the amount of elastic capital available to absorb investor demand before large valuation distortions are created. The fact that the capacity interaction remains significant after conditioning on all conventional proxies suggests that it captures a distinct dimension of the price-formation process.

Taken together, the evidence indicates that institutional absorption capacity should not be viewed merely as another limits-to-arbitrage proxy. Rather, it represents an independent

mechanism governing how household demand is transmitted into prices and, ultimately, into long-horizon expected returns.

Table 9: Joint Horse-Race: Institutional Absorption Capacity versus Conventional Limits-to-Arbitrage Proxies

Interaction	1Q	1Y	3Y	5Y
Demand $\times$ Low institutional capacity	-0.72*** (-3.33)	-2.29*** (-3.36)	-4.14*** (-3.22)	-7.58** (-2.44)
Demand $\times$ Small firm	-0.55*** (-2.68)	-1.87* (-1.98)	-5.68*** (-3.64)	-13.78*** (-3.76)
Demand $\times$ High IVOL	-0.66*** (-5.24)	-2.51*** (-6.18)	-7.07*** (-6.26)	-10.00*** (-4.97)
Demand $\times$ Low analyst coverage	-0.31* (-1.75)	-1.14*** (-4.07)	-3.31*** (-3.54)	-5.98*** (-3.44)
Demand $\times$ Low institutional ownership	-0.59*** (-2.64)	-2.77*** (-3.27)	-11.81*** (-5.93)	-12.33*** (-2.97)
All main effects included	Yes	Yes	Yes	Yes
Controls	Yes	Yes	Yes	Yes
Common-sample quarters	151	151	151	151
Common-sample average N	3737	3502	2966	2545

This table reports joint Fama–MacBeth regressions of cumulative future stock returns on standardized household latent demand, all five limits-to-arbitrage dummies, all five interactions between household demand and those dummies, and the standard controls. The table reports only interaction coefficients. Thus, each coefficient measures the additional cumulative-return effect of a one-standard-deviation household-demand increase in the indicated group, conditional on every other proxy and interaction in the table.

Low institutional capacity identifies firms below the within-quarter median of lagged institutional absorption capacity, $\kappa_{j,t-1}^I$. Small firms are below the within-quarter median of log market equity. High-IVOL firms are at or above the within-quarter median of lagged 12-month Fama–French five-factor residual volatility. Low analyst coverage includes zero-coverage firms and covered firms at or below the within-quarter median of positive analyst coverage. Low institutional ownership identifies firms below the within-quarter median of lagged aggregate institutional ownership. All five interactions, their constituent main effects, and household demand are estimated on exactly the same observations within each horizon.

Controls are profitability, asset growth, dividend payout, log market equity, and momentum, measured at formation. Parentheses contain Newey–West t -statistics with four lags. Coefficients are percentage points. Significance levels are *** $p < 0.01$, ** $p < 0.05$, and * $p < 0.10$.

8 Conclusion

Demand-based asset-pricing models have established that investor demand affects asset prices. A central unanswered question, however, is why otherwise similar demand realizations generate dramatically different pricing outcomes across stocks. Some demand episodes are associated with little apparent mispricing, whereas others are followed by large price movements and years of predictable return reversals.

This paper argues that the missing state variable is institutional absorption capacity. Building on the demand-system framework, I show that the pricing consequences of household demand depend not only on the magnitude of the demand realization but also on the amount of elastic institutional capital available to absorb it. To capture this idea, I construct stock-level measures of institutional absorption capacity using ownership-weighted investor demand elasticities and combine these measures with household latent demand to form household demand pressure.

The empirical results show that household demand pressure is associated with larger contemporaneous price movements and strongly predicts future return reversals. Demand pressure substantially outperforms household demand alone in explaining long-horizon expected returns, survives horse-race tests against household demand and conventional limits-to-arbitrage proxies, and remains economically meaningful after excluding microcap and low-priced stocks. These findings indicate that the return consequences of household demand depend critically on the elasticity of the investors absorbing that demand.

The paper also provides evidence on the mechanism underlying these effects. Innovation pressure is closely associated with contemporaneous price adjustment, whereas persistent pressure accounts for the majority of long-run return predictability. Ownership dynamics reveal that households initiate high-pressure episodes and subsequently reduce ownership, while institutions gradually absorb these positions over several years. Mutual funds and investment advisors provide much of the initial absorption, while longer-horizon investors, including pension funds and insurance companies, continue to accumulate positions over

subsequent years. This gradual transfer of ownership is consistent with the slow reversal of demand-induced valuation distortions documented throughout the paper.

More broadly, the findings suggest that institutional absorption capacity is not merely another proxy for limits to arbitrage. Although absorption capacity is related to firm size, idiosyncratic volatility, analyst coverage, and institutional ownership, it retains explanatory power after these characteristics are considered jointly. Absorption capacity therefore appears to capture a distinct dimension of the price-formation process: the availability of elastic capital willing to accommodate investor demand.

Taken together, the evidence highlights the importance of considering not only who demands an asset but also who stands ready to absorb that demand. Understanding the interaction between investor demand and absorption capacity provides a richer view of how prices are formed, why valuation distortions can persist, and how demand shocks are ultimately transmitted into long-horizon expected returns. Future research may explore how absorption capacity varies across market conditions and whether similar mechanisms operate in other asset classes, helping to further connect investor demand, market structure, and expected returns.

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